DHJJ LTD.
184 SHUMAN BLVD. STE. 200
NAPERVILLE, IL 60563

LILY CORPORATION
240 S. BROADWAY
AURORA, IL 60505

126340
04-01-21

2021 Tax Return(s)

Prepared for

LILY CORPORATION
CLIENT CODE: 0104469.0:V1

Account Number 712393
Release Number 2021.03050

Prepared by

DHJJ LTD.
184 SHUMAN BLVD. STE. 200
NAPERVILLE, IL
60563

630-420-1360

Processing

Date: 05/25/2022
Time: 08:36:06

Special Instructions

Messages

Extension Information Report

NAME: LILY CORPORATION

ID Number: 36-3188312

Unit	Extension form name	Balance due shown on extension	Tax deposited with extension on the return	Due Date	Unlocked
FED	FORM 7004		0.	03/15/22	X
IL	IL-1120-ST-V EXT		0.	03/15/22	

117041 04-01-21

2021 Return Summary

LILY CORPORATION 36-3188312

	FEDERAL	ILLINOIS
FORM NAME	1120S	IL-1120-ST
NUMBER OF SHAREHOLDERS	2	2
E-FILE REQUESTED	YES	YES
DUE DATE	03/15/22	03/15/22
EXTENDED DUE DATE	09/15/22	10/17/22
DIRECT DEPOSIT	N/A	N/A
ELECTRONIC WITHDRAWAL	N/A	N/A
DATE CALCULATED	05/25/22	05/25/22
TIME CALCULATED	08:34:10	08:34:10
RELEASE VERSION	2021.03050	2021.03050
DATE EXPORTED	05/25/22	05/25/22
TIME EXPORTED	08:34:35	08:34:35
EXPORT VERSION	2021.03050	2021.03050

ELECTRONIC FILING STATUS REPORT

TAXING AUTHORITY	*RETURN STATUS*	*ELECTRONIC FILING STATUS*	*DATE EXPORTED*
FEDERAL	QUALIFIED	READY TO RELEASE BY CUSTOMER	05/25/2022
FEDERAL 7004	QUALIFIED	ACCEPTED	02/25/2022
ILLINOIS	QUALIFIED	READY TO RELEASE BY CUSTOMER	05/25/2022

Electronic Filing History and Return Results

Taxing Authority FEDERAL Form 1120S	Prior Export	Current Export
Date	05/24/2022	05/25/2022
Time	15:23:04	08:34:35
Release Number	2021.03050	2021.03050
Taxable Income	-95,842.	-95,842.
Tax	0.	0.
Refund / Balance Due	0.	0.

Taxing Authority ILLINOIS Form IL-1120-ST	Prior Export	Current Export
Date	05/24/2022	05/25/2022
Time	15:23:04	08:34:35
Release Number	2021.03050	2021.03050
Taxable Income	-95,842.	-95,842.
Tax	0.	0.
Refund / Balance Due	-231.	0.

Taxing Authority Form	Prior Export	Current Export
Date		
Time		
Release Number		
Taxable Income		
Tax		
Refund / Balance Due		

Taxing Authority Form	Prior Export	Current Export
Date		
Time		
Release Number		
Taxable Income		
Tax		
Refund / Balance Due		

Taxing Authority Form	Prior Export	Current Export
Date		
Time		
Release Number		
Taxable Income		
Tax		
Refund / Balance Due		

May 25, 2022

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Lily Corporation:

We have prepared and enclosed your 2021 S Corporation income tax returns for the year ended December 31, 2021.

The federal return has qualified for electronic filing. After you have reviewed the return for completeness and accuracy, please sign, date and return Form 8879-S to our office by September 15, 2022. We will transmit your return electronically to the IRS, and no further action is required.

No payment is required for the federal return.

The Illinois Form IL-1120-ST return has qualified for electronic filing. After you have reviewed your return for completeness and accuracy, please sign, date and return Form 8879-SO to our office by October 17, 2022. We will then transmit your return electronically to the IDOR.

No payment is required.

Your overpayment in the amount of $231 has been applied to your Illinois estimated tax.

Attached are Schedules K-1 for each shareholder indicating their share of income, deductions and credits to be reported on their respective tax returns. These schedules should be promptly forwarded to each of the shareholders.

Copies of the returns are enclosed for your files.

We sincerely appreciate the opportunity to serve you. Please contact us if you have any questions.

Sincerely,

Dione Stolarski

TEL 630 420 1360 FAX 630 420 1463
WWW.DHJJ.COM

2021 TAX RETURN FILING INSTRUCTIONS

U.S. INCOME TAX RETURN FOR AN S CORPORATION

FOR THE YEAR ENDING
December 31, 2021

Prepared For:

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Prepared By:

DHJJ Ltd.
184 Shuman Blvd. Ste. 200
Naperville, IL 60563

To Be Signed and Dated By:

The appropriate corporate officer(s).

Amount of Tax:

Total tax	$ 0
Less: payments and credits	$ 0
Plus: interest and penalties	$ 0
No payment required	$

Overpayment:

Not applicable

Make Check Payable To:

Not applicable

Mail Tax Return and Check (if applicable) To:

This return has qualified for electronic filing. After you have reviewed the return for accuracy, please sign, date and return Form 8879-S to our office. We will transmit your return electronically to the IRS, and no further action is required.

Return Must be Mailed On or Before:

Return federal Form 8879-S to us by September 15, 2022.

Special Instructions:

Enclosed are copies of Schedule K-1 to be distributed to the shareholders.

CARRYOVER DATA TO 2022

Name	Employer Identification Number
LILY CORPORATION	36-3188312

Based on the information provided with this return, the following are possible carryover amounts to next year.

IL NET OPERATING LOSS	95,842.

SUMMARY OF SCHEDULE K-1

Entity Name: LILY CORPORATION Schedule K-1 Line/Item Description	Number 1 Name: LILY TROUT	Number 2 Name: MICHAEL TROUT	Number Name: K-1 TOTALS	Number Name:	Number Name:	Number Name:	Number Name:
1 - ORDINARY BUSINESS INCOME (LOSS)	-90,128.	-3,560.	-93,688.				
9 - NET SECTION 1231 GAIN (LOSS)	-2,072.	-82.	-2,154.				
16B - OTHER TAX-EXEMPT INCOME	97,930.	3,868.	101,798.				
16D - DISTRIBUTIONS	119,839.	4,734.	124,573.				
17V - SECTION 199A W-2 WAGES	575,463.	22,731.	598,194.				
17V - SECTION 199A UNADJUSTED BASIS	360,332.	14,234.	374,566.				

S CORPORATION

Two-Year Comparison

2021

Name: LILY CORPORATION

Employer Identification Number: 36-3188312

Description	Prior Year	Current Year	Increase (Decrease)
ORDINARY BUSINESS INCOME (LOSS):			
INCOME:			
GROSS RECEIPTS OR SALES LESS RETURNS AND ALLOWANCES	1,979,389.	1,714,566.	-264,823.
COST OF GOODS SOLD	990,405.	1,153,154.	162,749.
GROSS PROFITS	988,984.	561,412.	-427,572.
TOTAL INCOME	988,984.	561,412.	-427,572.
DEDUCTIONS:			
COMPENSATION OF OFFICERS	220,493.	217,821.	-2,672.
SALARIES AND WAGES LESS EMPLOYMENT CREDITS	172,728.	150,606.	-22,122.
REPAIRS AND MAINTENANCE	68.	0.	-68.
BAD DEBTS	77.	92.	15.
TAXES AND LICENSES	63,690.	56,338.	-7,352.
DEPRECIATION	6,348.	5,895.	-453.
ADVERTISING	855.	1,471.	616.
PENSION, PROFIT-SHARING, ETC., PLANS	5,847.	5,848.	1.
EMPLOYEE BENEFIT PROGRAMS	81,801.	85,249.	3,448.
OTHER DEDUCTIONS	94,524.	131,780.	37,256.
TOTAL DEDUCTIONS	646,431.	655,100.	8,669.
ORDINARY BUSINESS INCOME (LOSS)	342,553.	-93,688.	-436,241.
S CORPORATION TAXES:			
PAYMENTS AND CREDITS:			
BALANCE DUE OR REFUND:			
SCHEDULE K:			
INCOME:			
ORDINARY BUSINESS INCOME (LOSS)	342,553.	-93,688.	-436,241.
SECTION 1231 GAIN (LOSS)	0.	-2,154.	-2,154.
DEDUCTIONS:			
INVESTMENT INTEREST:			
CREDITS:			

S CORPORATION

Two-Year Comparison

2021

Name: LILY CORPORATION

Employer Identification Number: 36-3188312

Description	Prior Year	Current Year	Increase (Decrease)
FOREIGN TAXES:			
AMT ITEMS:			
OTHER SCHEDULE K ITEMS:			
OTHER TAX-EXEMPT INCOME	0.	101,798.	101,798.
NONDEDUCTIBLE EXPENSES	476.	0.	-476.
PROPERTY DISTRIBUTIONS	245,425.	124,573.	-120,852.
INCOME (LOSS)	342,553.	-95,842.	-438,395.
SCHEDULE M-1:			
NET INCOME (LOSS) PER BOOKS	342,077.	5,956.	-336,121.
TRAVEL & ENTERTAINMENT RECORDED ON BOOKS NOT INCLUDED ON SCHEDULE K	476.	0.	-476.
TOTAL EXPENSES RECORDED ON BOOKS NOT INCLUDED ON SCHEDULE K	476.	0.	-476.
TOTAL OF LINES 1 THROUGH 3	342,553.	5,956.	-336,597.
OTHER INCOME RECORDED ON BOOKS NOT INCLUDED ON SCHEDULE K	0.	101,798.	101,798.
INCOME RECORDED ON BOOKS THIS YEAR NOT INCLUDED ON SCHEDULE K	0.	101,798.	101,798.
TOTAL OF LINES 5 AND 6	0.	101,798.	101,798.
INCOME (LOSS)	342,553.	-95,842.	-438,395.
SCHEDULE M-2:			
ACCUMULATED ADJUSTMENTS ACCOUNT:			
BALANCE AT BEGINNING OF TAX YEAR	959,222.	1,055,790.	96,568.
ORDINARY INCOME	342,553.	0.	-342,553.
OTHER ADDITIONS	0.	101,798.	101,798.
LOSS FROM PAGE 1, LINE 21	0.	-93,688.	-93,688.
OTHER REDUCTIONS	476.	2,154.	1,678.
COMBINE LINES 1 THROUGH 5	1,301,299.	1,061,746.	-239,553.
DISTRIBUTIONS	245,425.	124,573.	-120,852.
BALANCE AT END OF TAX YEAR	1,055,874.	937,173.	-118,701.
OTHER ADJUSTMENTS ACCOUNT:			
BALANCE AT BEGINNING OF TAX YEAR	0.	0.	
OTHER ADDITIONS	0.	101,798.	101,798.
OTHER REDUCTIONS	0.	101,798.	101,798.
BALANCE AT END OF TAX YEAR	0.	0.	

S CORPORATION

Two-Year Comparison

2021

Name

LILY CORPORATION

Employer Identification Number

36-3188312

Description	Prior Year	Current Year	Increase (Decrease)

Form **8879-S**

Department of the Treasury
Internal Revenue Service

IRS e-file Signature Authorization for Form 1120-S

▶ **ERO must obtain and retain completed Form 8879-S.**

▶ **Go to www.irs.gov/Form8879S for the latest information.**

For calendar year 2021, or tax year beginning , 2021, and ending , 20 .

OMB No. 1545-0123

2021

Name of corporation

LILY CORPORATION

Employer identification number

36-3188312

Part I Tax Return Information (Whole dollars only)

1	Gross receipts or sales less returns and allowances (Form 1120-S, line 1c)	1	1,714,566.
2	Gross profit (Form 1120-S, line 3)	2	561,412.
3	Ordinary business income (loss) (Form 1120-S, line 21)	3	-93,688.
4	Net rental real estate income (loss) (Form 1120-S, Schedule K, line 2)	4	
5	Income (loss) reconciliation (Form 1120-S, Schedule K, line 18)	5	-95,842.

Part II Declaration and Signature Authorization of Officer (Be sure to get a copy of the corporation's return)

Under penalties of perjury, I declare that I am an officer of the above corporation and that I have examined a copy of the corporation's 2021 electronic income tax return and accompanying schedules and statements and to the best of my knowledge and belief, it is true, correct, and complete. I further declare that the amounts in Part I above are the amounts shown on the copy of the corporation's electronic income tax return. I consent to allow my electronic return originator (ERO), transmitter, or intermediate service provider to send the corporation's return to the IRS and to receive from the IRS **(a)** an acknowledgement of receipt or reason for rejection of the transmission, **(b)** the reason for any delay in processing the return or refund, and **(c)** the date of any refund. If applicable, I authorize the U.S. Treasury and its designated Financial Agent to initiate an electronic funds withdrawal (direct debit) entry to the financial institution account indicated in the tax preparation software for payment of the corporation's federal taxes owed on this return, and the financial institution to debit the entry to this account. To revoke a payment, I must contact the U.S. Treasury Financial Agent at **1-888-353-4537** no later than 2 business days prior to the payment (settlement) date. I also authorize the financial institutions involved in the processing of the electronic payment of taxes to receive confidential information necessary to answer inquiries and resolve issues related to the payment. I have selected a personal identification number (PIN) as my signature for the corporation's electronic income tax return and, if applicable, the corporation's consent to electronic funds withdrawal.

Officer's PIN: check one box only

[X] I authorize DHJJ LTD. to enter my PIN 88312

ERO firm name **Don't enter all zeros**

as my signature on the corporation's 2021 electronically filed income tax return.

[ ] As an officer of the corporation, I will enter my PIN as my signature on the corporation's 2021 electronically filed income tax return.

Officer's signature ▶ _____ Date ▶ _____ Title ▶ PRESIDENT

Part III Certification and Authentication

ERO's EFIN/PIN. Enter your six-digit EFIN followed by your five-digit self-selected PIN. 36063334663

Don't enter all zeros

I certify that the above numeric entry is my PIN, which is my signature on the 2021 electronically filed income tax return for the corporation indicated above. I confirm that I am submitting this return in accordance with the requirements of **Pub. 3112,** IRS *e-file* Application and Participation, and **Pub. 4163**, Modernized e-File (MeF) Information for Authorized IRS *e-file* Providers for Business Returns.

ERO's signature ▶ _____ Date ▶ 05/25/22

ERO Must Retain This Form - See Instructions
Don't Submit This Form to the IRS Unless Requested To Do So

Form **7004**
(Rev. December 2018)
Department of the Treasury
Internal Revenue Service

Application for Automatic Extension of Time To File Certain Business Income Tax, Information, and Other Returns

▶ **File a separate application for each return.**
▶ **Go to www.irs.gov/Form7004 for instructions and the latest information.**

OMB No. 1545-0233

Print or Type

Name: LILY CORPORATION

Identifying number: 36-3188312

Number, street, and room or suite no. (If P.O. box, see instructions.): 240 S. BROADWAY

City, town, state, and ZIP code (If a foreign address, enter city, province or state, and country (follow the country's practice for entering postal code).): AURORA, IL 60505

Note: File request for extension by the due date of the return. See instructions before completing this form.

Part I Automatic Extension for Certain Business Income Tax, Information, and Other Returns. See instructions.

1 Enter the form code for the return listed below that this application is for 25

Application Is For:	Form Code	Application Is For:	Form Code
Form 706-GS(D)	01	Form 1120-ND (section 4951 taxes)	20
Form 706-GS(T)	02	Form 1120-PC	21
Form 1041 (bankruptcy estate only)	03	Form 1120-POL	22
Form 1041 (estate other than a bankruptcy estate)	04	Form 1120-REIT	23
Form 1041 (trust)	05	Form 1120-RIC	24
Form 1041-N	06	Form 1120S	25
Form 1041-QFT	07	Form 1120-SF	26
Form 1042	08	Form 3520-A	27
Form 1065	09	Form 8612	28
Form 1066	11	Form 8613	29
Form 1120	12	Form 8725	30
Form 1120-C	34	Form 8804	31
Form 1120-F	15	Form 8831	32
Form 1120-FSC	16	Form 8876	33
Form 1120-H	17	Form 8924	35
Form 1120-L	18	Form 8928	36
Form 1120-ND	19		

Part II All Filers Must Complete This Part

2 If the organization is a foreign corporation that does not have an office or place of business in the United States, check here ..... ▶ ☐

3 If the organization is a corporation and is the common parent of a group that intends to file a consolidated return, check here ..... ▶ ☐
If checked, attach a statement listing the name, address, and employer identification number (EIN) for each member covered by this application.

4 If the organization is a corporation or partnership that qualifies under Regulations section 1.6081-5, check here ..... ▶ ☐

5a The application is for calendar year 2021, or tax year beginning _____, and ending _____

b Short tax year. If this tax year is less than 12 months, check the reason: ☐ Initial return ☐ Final return
☐ Change in accounting period ☐ Consolidated return to be filed ☐ Other (See instructions - attach explanation.)

6	Tentative total tax	**6**	0.
7	**Total** payments and credits. See instructions	**7**	0.
8	**Balance due.** Subtract line 7 from line 6. See instructions	**8**	0.

Form **1120-S**

Department of the Treasury
Internal Revenue Service

U.S. Income Tax Return for an S Corporation

▶ **Do not file this form unless the corporation has filed or is attaching Form 2553 to elect to be an S corporation.**
▶ **Go to www.irs.gov/Form1120S for instructions and the latest information.**

OMB No. 1545-0123

2021

For calendar year 2021 or tax year beginning , ending

A S election effective date 01/01/2008	Name (TYPE OR PRINT) LILY CORPORATION	**D** Employer identification number 36-3188312
B Business activity code number (see instructions) 333100	Number, street, and room or suite no. If a P.O. box, see instructions. 240 S. BROADWAY	**E** Date incorporated 06/22/1982
C Check if Sch. M-3 attached ☐	City or town, state or province, country, and ZIP or foreign postal code AURORA, IL 60505	**F** Total assets (see instructions) $ 1,670,223.

G Is the corporation electing to be an S corporation beginning with this tax year? ☐ Yes ☒ No

H Check if: **(1)** ☐ Final return **(2)** ☐ Name change **(3)** ☐ Address change **(4)** ☐ Amended return **(5)** ☐ S election termination

I Enter the number of shareholders who were shareholders during any part of the tax year ▶ 2

J Check if corporation: **(1)** ☐ Aggregated activities for section 465 at-risk purposes **(2)** ☐ Grouped activities for section 469 passive activity purposes

Caution: Include **only** trade or business income and expenses on lines 1a through 21. See the instructions for more information.

Income	1a	Gross receipts or sales 1,714,566. b Return and allowances c Bal. Subtract line 1b from line 1a	1c	1,714,566.
	2	Cost of goods sold (attach Form 1125-A)	2	1,153,154.
	3	Gross profit. Subtract line 2 from line 1c	3	561,412.
	4	Net gain (loss) from Form 4797, line 17 (attach Form 4797)	4	
	5	Other income (loss) (attach statement)	5	
	6	**Total income (loss).** Add lines 3 through 5 ▶	6	561,412.
Deductions (See instructions for limitations)	7	Compensation of officers (see instrs. - attach Form 1125-E)	7	217,821.
	8	Salaries and wages (less employment credits)	8	150,606.
	9	Repairs and maintenance	9	
	10	Bad debts	10	92.
	11	Rents	11	
	12	Taxes and licenses STATEMENT 1	12	56,338.
	13	Interest (see instructions)	13	
	14	Depreciation not claimed on Form 1125-A or elsewhere on return (attach Form 4562)	14	5,895.
	15	Depletion **(Do not deduct oil and gas depletion.)**	15	
	16	Advertising	16	1,471.
	17	Pension, profit-sharing, etc., plans	17	5,848.
	18	Employee benefit programs	18	85,249.
	19	Other deductions (attach statement) STATEMENT 2	19	131,780.
	20	**Total deductions.** Add lines 7 through 19 ▶	20	655,100.
	21	**Ordinary business income (loss).** Subtract line 20 from line 6	21	-93,688.
Tax and Payments	22a	Excess net passive income or LIFO recapture tax (see instructions) 22a		
	b	Tax from Schedule D (Form 1120-S) 22b		
	c	Add lines 22a and 22b	22c	
	23a	2021 estimated tax payments and 2020 overpayment credited to 2021 23a		
	b	Tax deposited with Form 7004 23b		
	c	Credit for federal tax paid on fuels (attach Form 4136) 23c		
	d	Add lines 23a through 23c	23d	
	24	Estimated tax penalty (see instructions). Check if Form 2220 is attached ▶ ☐	24	
	25	**Amount owed.** If line 23d is smaller than the total of lines 22c and 24, enter amount owed	25	
	26	**Overpayment.** If line 23d is larger than the total of lines 22c and 24, enter amount overpaid	26	
	27	Enter amount from line 26: **Credited to 2022 estimated tax** ▶ **Refunded** ▶	27	

Sign Here

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

▶ _____ Signature of officer | Date | ▶ PRESIDENT Title

May the IRS discuss this return with the preparer shown below? See instr. ☒ Yes ☐ No

Paid Preparer Use Only

Print/Type preparer's name DIONE STOLARSKI	Preparer's signature Dione A Stolarski	Date 05/25/22	Check if self-employed ☐ PTIN P00234010
Firm's name ▶ DHJJ LTD.			Firm's EIN ▶ 36-3029663
Firm's address ▶ 184 SHUMAN BLVD. STE. 200 NAPERVILLE, IL 60563			Phone no. 630-420-1360

Schedule B Other Information (see instructions)

		Yes	No
1	Check accounting method: a ☐ Cash b ☒ Accrual c ☐ Other (specify) ▶		
2	See the instructions and enter the: a Business activity ▶ MANUFACTURING b Product or service ▶ EPOXY INJECTION EQP		
3	At any time during the tax year, was any shareholder of the corporation a disregarded entity, a trust, an estate, or a nominee or similar person? If "Yes," attach Schedule B-1, Information on Certain Shareholders of an S Corporation		X
4	At the end of the tax year, did the corporation:		
a	Own directly 20% or more, or own, directly or indirectly, 50% or more of the total stock issued and outstanding of any foreign or domestic corporation? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below		X

(i) Name of Corporation	(ii) Employer Identification Number (if any)	(iii) Country of Incorporation	(iv) Percentage of Stock Owned	(v) If Percentage in (iv) is 100%, Enter the Date (if applicable) a Qualified Subchapter S Subsidiary Election Was Made

b	Own directly an interest of 20% or more, or own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital in any foreign or domestic partnership (including an entity treated as a partnership) or in the beneficial interest of a trust? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below			X	

(i) Name of Entity	(ii) Employer Identification Number (if any)	(iii) Type of Entity	(iv) Country of Organization	(v) Maximum Percentage Owned in Profit, Loss, or Capital

5a	At the end of the tax year, did the corporation have any outstanding shares of restricted stock? If "Yes," complete lines (i) and (ii) below.			X
	(i) Total shares of restricted stock ▶			
	(ii) Total shares of non-restricted stock ▶			
b	At the end of the tax year, did the corporation have any outstanding stock options, warrants, or similar instruments? If "Yes," complete lines (i) and (ii) below.			X
	(i) Total shares of stock outstanding at the end of the tax year ▶			
	(ii) Total shares of stock outstanding if all instruments were executed ▶			
6	Has this corporation filed, or is it required to file, **Form 8918,** Material Advisor Disclosure Statement, to provide info. on any reportable transaction?			X
7	Check this box if the corporation issued publicly offered debt instruments with original issue discount ▶ ☐ If checked, the corporation may have to file **Form 8281,** Information Return for Publicly Offered Original Issue Discount Instruments.			
8	If the corporation **(a)** was a C corporation before it elected to be an S corporation **or** the corporation acquired an asset with a basis determined by reference to the basis of the asset (or the basis of any other property) in the hands of a C corporation, **and (b)** has net unrealized built-in gain in excess of the net recognized built-in gain from prior years, enter the net unrealized built-in gain reduced by net recognized built-in gain from prior years ▶ $			
9	Did the corporation have an election under section 163(j) for any real property trade or business or any farming business in effect during the tax year? See instructions			X
10	Does the corporation satisfy one or more of the following? See instructions			X
a	The corporation owns a pass-through entity with current, or prior year carryover, excess business interest expense.			
b	The corporation's aggregate average annual gross receipts (determined under section 448(c)) for the 3 tax years preceding the current tax year are more than $26 million and the corporation has business interest expense.			
c	The corporation is a tax shelter and the corporation has business interest expense. If "Yes," complete and attach Form 8990.			
11	Does the corporation satisfy **both** of the following conditions?			X
a	The corporation's total receipts (see instructions) for the tax year were less than $250,000.			
b	The corporation's total assets at the end of the tax year were less than $250,000. If "Yes," the corporation is not required to complete Schedules L and M-1.			

Schedule B Other Information (see instructions) *(continued)*

		Yes	No
12	During the tax year, did the corporation have any non-shareholder debt that was canceled, was forgiven, or had the terms modified so as to reduce the principal amount of the debt?		X
	If "Yes," enter the amount of principal reduction ▶ $		
13	During the tax year, was a qualified subchapter S subsidiary election terminated or revoked? If "Yes," see instructions		X
14a	Did the corporation make any payments in 2021 that would require it to file Form(s) 1099?	X	
b	If "Yes," did the corporation file or will it file required Form(s) 1099?	X	
15	Is the corporation attaching Form 8996 to certify as a Qualified Opportunity Fund?		X
	If "Yes," enter the amount from Form 8996 , line 15 ▶ $		

Schedule K Shareholders' Pro Rata Share Items

				Total amount
Income (Loss)	1	Ordinary business income (loss) (page 1, line 21)	1	-93,688.
	2	Net rental real estate income (loss) (attach Form 8825)	2	
	3a	Other gross rental income (loss) 3a		
	b	Expenses from other rental activities (attach statement) 3b		
	c	Other net rental income (loss). Subtract line 3b from line 3a	3c	
	4	Interest income	4	
	5	Dividends: a Ordinary dividends	5a	
		b Qualified dividends 5b		
	6	Royalties	6	
	7	Net short-term capital gain (loss) (attach Schedule D (Form 1120-S))	7	
	8a	Net long-term capital gain (loss) (attach Schedule D (Form 1120-S))	8a	
	b	Collectibles (28%) gain (loss) 8b		
	c	Unrecaptured section 1250 gain (attach statement) 8c		
	9	Net section 1231 gain (loss) (attach Form 4797) STATEMENT 3	9	-2,154.
	10	Other income (loss) (see instructions) Type ▶	10	
Deductions	11	Section 179 deduction (attach Form 4562)	11	
	12a	Charitable contributions	12a	
	b	Investment interest expense	12b	
	c	Section 59(e)(2) expenditures Type ▶	12c	
	d	Other deductions (see instructions) Type ▶	12d	
Credits	13a	Low-income housing credit (section 42(j)(5))	13a	
	b	Low-income housing credit (other)	13b	
	c	Qualified rehabilitation expenditures (rental real estate) (attach Form 3468, if applicable)	13c	
	d	Other rental real estate credits (see instructions) Type ▶	13d	
	e	Other rental credits (see instructions) Type ▶	13e	
	f	Biofuel producer credit (attach Form 6478)	13f	
	g	Other credits (see instructions) Type ▶	13g	
International Transactions	14	Attach Schedule K-2 (Form 1120-S), Shareholders' Pro Rata Share Items - International, and check this box to indicate you are reporting items of international tax relevance ▶ ☐		
Alternative Minimum Tax (AMT) Items	15a	Post-1986 depreciation adjustment	15a	
	b	Adjusted gain or loss	15b	
	c	Depletion (other than oil and gas)	15c	
	d	Oil, gas, and geothermal properties - gross income	15d	
	e	Oil, gas, and geothermal properties - deductions	15e	
	f	Other AMT items (attach statement)	15f	
Items Affecting Shareholder Basis	16a	Tax-exempt interest income	16a	
	b	Other tax-exempt income STATEMENT 4	16b	101,798.
	c	Nondeductible expenses	16c	
	d	Distributions (attach statement if required) STATEMENT 5	16d	124,573.
	e	Repayment of loans from shareholders	16e	
	f	Foreign taxes paid or accrued	16f	

Schedule K	Shareholders' Pro Rata Share Items *(continued)*		Total amount
Other Information	17a Investment income	17a	
	b Investment expenses	17b	
	c Dividend distributions paid from accumulated earnings and profits	17c	
	d Other items and amounts (att. stmt.) STATEMENT 6		
Reconciliation	18 **Income (loss) reconciliation.** Combine the amounts on lines 1 through 10 in the far right column. From the result, subtract the sum of the amounts on lines 11 through 12d and 16f	18	-95,842.

Schedule L	Balance Sheets per Books	Beginning of tax year		End of tax year	
	Assets	(a)	(b)	(c)	(d)
1	Cash		588,119.		578,278.
2a	Trade notes and accounts receivable	253,920.		154,011.	
b	Less allowance for bad debts	( )	253,920.	( )	154,011.
3	Inventories		907,732.		787,650.
4	U.S. government obligations				
5	Tax-exempt securities				
6	Other current assets (att. stmt.)	STATEMENT 7	7,610.		231.
7	Loans to shareholders				
8	Mortgage and real estate loans				
9	Other investments (att. stmt.)				
10a	Buildings and other depreciable assets	1,194,150.		1,194,150.	
b	Less accumulated depreciation	(1,051,002.)	143,148.	(1,056,897.)	137,253.
11a	Depletable assets				
b	Less accumulated depletion	( )		( )	
12	Land (net of any amortization)		12,800.		12,800.
13a	Intangible assets (amortizable only)	15,549.		0.	
b	Less accumulated amortization	(12,444.)	3,105.	(0.)	0.
14	Other assets (att. stmt.)				
15	Total assets		1,916,434.		1,670,223.
	Liabilities and Shareholders' Equity				
16	Accounts payable		37,167.		14,146.
17	Mortgages, notes, bonds payable in less than 1 year		9,999.		9,999.
18	Other current liabilities (att. stmt.)	STATEMENT 8	138,268.		33,695.
19	Loans from shareholders				
20	Mortgages, notes, bonds payable in 1 year or more				
21	Other liabilities (att. stmt.)				
22	Capital stock		1,000.		1,000.
23	Additional paid-in capital		4,000.		4,000.
24	Retained earnings	STATEMENT 9	1,874,925.		1,756,308.
25	Adjustments to shareholders' equity (att. stmt.)				
26	Less cost of treasury stock		(148,925.)		(148,925.)
27	Total liabilities and shareholders' equity		1,916,434.		1,670,223.

Schedule M-1 Reconciliation of Income (Loss) per Books With Income (Loss) per Return

Note: The corporation may be required to file Schedule M-3. See instructions.

1 Net income (loss) per books	5,956.	5 Income recorded on books this year not included on Schedule K, lines 1 through 10 (itemize):	
2 Income included on Schedule K, lines 1, 2, 3c, 4, 5a, 6, 7, 8a, 9, and 10, not recorded on books this year (itemize):		a Tax-exempt interest $ STMT 10 101,798.	101,798.
3 Expenses recorded on books this year not included on Schedule K, lines 1 through 12 and 16f (itemize): a Depreciation $ b Travel and entertainment $		6 Deductions included on Schedule K, lines 1 through 12 and 16f, not charged against book income this year (itemize): a Depreciation $	
		7 Add lines 5 and 6	101,798.
4 Add lines 1 through 3	5,956.	8 Income (loss) (Schedule K, line 18). Subtract line 7 from line 4	-95,842.

Schedule M-2 Analysis of Accumulated Adjustments Account, Shareholders' Undistributed Taxable Income Previously Taxed, Accumulated Earnings and Profits, and Other Adjustments Account (see instrs.)

	(a) Accumulated adjustments account	(b) Shareholders' undistributed taxable income previously taxed	(c) Accumulated earnings and profits	(d) Other adjustments account
1 Balance at beginning of tax year	1,055,790.			
2 Ordinary income from page 1, line 21				
3 Other additions STATEMENT 11	101,798.		STATEMENT 12	101,798.
4 Loss from page 1, line 21	(93,688.)			
5 Other reductions STATEMENT 13	(2,154.)		STATEMENT 14	(101,798.)
6 Combine lines 1 through 5	1,061,746.			
7 Distributions	124,573.			
8 Balance at end of tax year. Subtract line 7 from line 6	937,173.			0.

Form **1125-A**

(Rev. November 2018)

Department of the Treasury
Internal Revenue Service

Cost of Goods Sold

▶ **Attach to Form 1120, 1120-C, 1120-F, 1120S, or 1065.**

▶ **Go to www.irs.gov/Form1125A for the latest information.**

OMB No. 1545-0123

Name

LILY CORPORATION

Employer Identification number

36-3188312

1	Inventory at beginning of year	1	907,732.
2	Purchases	2	677,594.
3	Cost of labor	3	229,767.
4	Additional section 263A costs (attach schedule)	4	
5	Other costs (attach schedule) SEE STATEMENT 15	5	125,711.
6	**Total.** Add lines 1 through 5	6	1,940,804.
7	Inventory at end of year	7	787,650.
8	**Cost of goods sold.** Subtract line 7 from line 6. Enter here and on Form 1120, page 1, line 2 or the appropriate line of your tax return. See instructions	8	1,153,154.

9 a Check all methods used for valuing closing inventory:

(i) [X] Cost

(ii) [ ] Lower of cost or market

(iii) [ ] Other (Specify method used and attach explanation) ▶

b Check if there was a writedown of subnormal goods ▶ [ ]

c Check if the LIFO inventory method was adopted this tax year for any goods (if checked, attach Form 970) ▶ [ ]

d If the LIFO inventory method was used for this tax year, enter amount of closing inventory computed under LIFO **9d**

e If property is produced or acquired for resale, do the rules of Section 263A apply to the entity? See instructions [ ] Yes [X] No

f Was there any change in determining quantities, cost, or valuations between opening and closing inventory? [ ] Yes [X] No

If "Yes," attach explanation.

Form **1125-E**

(Rev. October 2016)

Department of the Treasury
Internal Revenue Service

Compensation of Officers

▶ **Attach to Form 1120, 1120-C, 1120-F, 1120-REIT, 1120-RIC, or 1120S.**

▶ **Information about Form 1125-E and its separate instructions is at www.irs.gov/form1125e.**

OMB No. 1545-0123

Name

LILY CORPORATION

Employer Identification number

36-3188312

Note: Complete Form 1125-E only if total receipts are $500,000 or more. See instructions for definition of total receipts.

(a) Name of officer	(b) Social security number	(c) Percent of time devoted to business	Percent of stock owned		(f) Amount of compensation
			(d) Common	(e) Preferred	
1 LILY TROUT	332-32-8069	100%	96.20%		63,963.
MICHAEL TROUT	336-54-3691	100%	3.80%		4,258.
ROBERT H. TROUT	348-56-4437	100%			149,600.

2 Total compensation of officers	2	217,821.
3 Compensation of officers claimed on Form 1125-A or elsewhere on return	3	
4 Subtract line 3 from line 2. Enter the result here and on Form 1120, page 1, line 12 or the appropriate line of your tax return	4	217,821.

For Paperwork Reduction Act Notice, see separate instructions.

Form **1125-E** (Rev. 10-2016)

124451 04-01-21 LHA

Form **4562**

Department of the Treasury
Internal Revenue Service (99)

Depreciation and Amortization
(Including Information on Listed Property) OTHER

▶ Attach to your tax return.

▶ Go to www.irs.gov/Form4562 for instructions and the latest information.

OMB No. 1545-0172

2021

Attachment Sequence No. **179**

Name(s) shown on return	Business or activity to which this form relates	Identifying number
LILY CORPORATION	OTHER DEPRECIATION	36-3188312

Part I **Election To Expense Certain Property Under Section 179** **Note:** If you have any listed property, complete Part V before you complete Part I.

1	Maximum amount (see instructions)	1	
2	Total cost of section 179 property placed in service (see instructions)	2	
3	Threshold cost of section 179 property before reduction in limitation	3	
4	Reduction in limitation. Subtract line 3 from line 2. If zero or less, enter -0-	4	
5	Dollar limitation for tax year. Subtract line 4 from line 1. If zero or less, enter -0-. If married filing separately, see instructions	5	

6	(a) Description of property	(b) Cost (business use only)	(c) Elected cost

7	Listed property. Enter the amount from line 29	7	
8	Total elected cost of section 179 property. Add amounts in column (c), lines 6 and 7	8	
9	Tentative deduction. Enter the **smaller** of line 5 or line 8	9	
10	Carryover of disallowed deduction from line 13 of your 2020 Form 4562	10	
11	Business income limitation. Enter the smaller of business income (not less than zero) or line 5	11	
12	Section 179 expense deduction. Add lines 9 and 10, but don't enter more than line 11	12	
13	Carryover of disallowed deduction to 2022. Add lines 9 and 10, less line 12 ▶	13	

Note: Don't use Part II or Part III below for listed property. Instead, use Part V.

Part II **Special Depreciation Allowance and Other Depreciation (Don't** include listed property.**)**

14	Special depreciation allowance for qualified property (other than listed property) placed in service during the tax year	14	
15	Property subject to section 168(f)(1) election	15	
16	Other depreciation (including ACRS)	16	3,082.

Part III **MACRS Depreciation (Don't** include listed property. See instructions.)

Section A

17	MACRS deductions for assets placed in service in tax years beginning before 2021	17	2,813.
18	If you are electing to group any assets placed in service during the tax year into one or more general asset accounts, check here ▶ ☐		

Section B - Assets Placed in Service During 2021 Tax Year Using the General Depreciation System

	(a) Classification of property	(b) Month and year placed in service	(c) Basis for depreciation (business/investment use only - see instructions)	(d) Recovery period	(e) Convention	(f) Method	(g) Depreciation deduction
19a	3-year property						
b	5-year property						
c	7-year property						
d	10-year property						
e	15-year property						
f	20-year property						
g	25-year property			25 yrs.		S/L	
h	Residential rental property	/		27.5 yrs.	MM	S/L	
		/		27.5 yrs.	MM	S/L	
i	Nonresidential real property	/		39 yrs.	MM	S/L	
		/			MM	S/L	

Section C - Assets Placed in Service During 2021 Tax Year Using the Alternative Depreciation System

20a	Class life					S/L	
b	12-year			12 yrs.		S/L	
c	30-year	/		30 yrs.	MM	S/L	
d	40-year	/		40 yrs.	MM	S/L	

Part IV **Summary** (See instructions.)

21	Listed property. Enter amount from line 28	21	
22	**Total.** Add amounts from line 12, lines 14 through 17, lines 19 and 20 in column (g), and line 21. Enter here and on the appropriate lines of your return. Partnerships and S corporations - see instr.	22	5,895.
23	For assets shown above and placed in service during the current year, enter the portion of the basis attributable to section 263A costs	23	

Part V **Listed Property** (Include automobiles, certain other vehicles, certain aircraft, and property used for entertainment, recreation, or amusement.)

Note: For any vehicle for which you are using the standard mileage rate or deducting lease expense, complete **only** 24a, 24b, columns (a) through (c) of Section A, all of Section B, and Section C if applicable.

Section A - Depreciation and Other Information (Caution: See the instructions for limits for passenger automobiles. **)**

24a Do you have evidence to support the business/investment use claimed? [X] **Yes** [ ] **No** **24b** If "Yes," is the evidence written? [X] **Yes** [ ] **No**

(a) Type of property (list vehicles first)	(b) Date placed in service	(c) Business/ investment use percentage	(d) Cost or other basis	(e) Basis for depreciation (business/investment use only)	(f) Recovery period	(g) Method/ Convention	(h) Depreciation deduction	(i) Elected section 179 cost
25 Special depreciation allowance for qualified listed property placed in service during the tax year and used more than 50% in a qualified business use						**25**		
26 Property used more than 50% in a qualified business use:								
		%						
SEE STATEMENT 16		%						
		%						
27 Property used 50% or less in a qualified business use:								
		%				S/L -		
		%				S/L -		
		%				S/L -		
28 Add amounts in column (h), lines 25 through 27. Enter here and on line 21, page 1						**28**		
29 Add amounts in column (i), line 26. Enter here and on line 7, page 1							**29**	

Section B - Information on Use of Vehicles

Complete this section for vehicles used by a sole proprietor, partner, or other "more than 5% owner," or related person. If you provided vehicles to your employees, first answer the questions in Section C to see if you meet an exception to completing this section for those vehicles.

	(a) Vehicle		(b) Vehicle		(c) Vehicle		(d) Vehicle		(e) Vehicle		(f) Vehicle	
30 Total business/investment miles driven during the year (**don't** include commuting miles)												
31 Total commuting miles driven during the year												
32 Total other personal (noncommuting) miles driven												
33 Total miles driven during the year. Add lines 30 through 32												
34 Was the vehicle available for personal use during off-duty hours?	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**
35 Was the vehicle used primarily by a more than 5% owner or related person?												
36 Is another vehicle available for personal use?												

Section C - Questions for Employers Who Provide Vehicles for Use by Their Employees

Answer these questions to determine if you meet an exception to completing Section B for vehicles used by employees who **aren't** more than 5% owners or related persons.

	Yes	**No**
37 Do you maintain a written policy statement that prohibits all personal use of vehicles, including commuting, by your employees?		
38 Do you maintain a written policy statement that prohibits personal use of vehicles, except commuting, by your employees? See the instructions for vehicles used by corporate officers, directors, or 1% or more owners		
39 Do you treat all use of vehicles by employees as personal use?		
40 Do you provide more than five vehicles to your employees, obtain information from your employees about the use of the vehicles, and retain the information received?		
41 Do you meet the requirements concerning qualified automobile demonstration use?		

Note: If your answer to 37, 38, 39, 40, or 41 is "Yes," don't complete Section B for the covered vehicles.

Part VI **Amortization**

(a) Description of costs	(b) Date amortization begins	(c) Amortizable amount	(d) Code section	(e) Amortization period or percentage	(f) Amortization for this year
42 Amortization of costs that begins during your 2021 tax year:					
43 Amortization of costs that began before your 2021 tax year				**43**	951.
44 **Total.** Add amounts in column (f). See the instructions for where to report				**44**	951.

2021 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION — OTHER

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
3	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	04/01/85	SL	15.00		16	119,509.				119,509.	119,509.		0.	119,509.
4	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	06/01/89	SL	40.00		16	123,299.				123,299.	71,604.		3,082.	74,686.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04/26/84	PRE	5.00		16	72,899.				72,899.	72,899.		0.	72,899.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06/15/03	200DB	5.00	HY	17	5,645.				5,645.	5,645.		0.	5,645.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/04	200DB	5.00	HY	17	1,097.				1,097.	1,097.		0.	1,097.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/05	200DB	5.00	HY	17	1,360.				1,360.	1,360.		0.	1,360.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/06	200DB	5.00	HY	17	586.				586.	586.		0.	586.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/08	200DB	5.00	HY	17	766.		766.					0.	
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04/26/84	PRE	5.00		16	5,225.			2,613.	2,612.	2,612.		0.	2,612.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04/26/84	PRE	5.00		16	104,633.				104,633.	104,633.		0.	104,633.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/03	200DB	5.00	HY	17	278.				278.	278.		0.	278.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/04	200DB	5.00	HY	17	8,129.				8,129.	8,129.		0.	8,129.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/05	200DB	5.00	HY	17	6,384.				6,384.	6,384.		0.	6,384.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/06	200DB	5.00	HY	17	500.				500.	500.		0.	500.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/07	200DB	5.00	HY	17	2,151.				2,151.	2,151.		0.	2,151.
18	MOLDS & DIES MOLDS AND DIES	04/26/84	PRE	5.00		16	251,131.				251,131.	251,131.		0.	251,131.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	864.			864.				0.	
21	CD135 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	17,411.			17,411.				0.	

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

2021 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION — OTHER

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
22	CD15 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	7,616.			7,616.				0.	
23	CD250 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	72,750.			72,750.				0.	
24	CD75 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	23,198.			23,198.				0.	
25	HT15 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	639.			639.				0.	
26	TTA RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	554.			554.				0.	
27	TTA-5 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	3,257.			3,257.				0.	
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11/02/11	200DB	5.00	HY	17	3,002.			3,002.				0.	
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01/21/13	200DB	5.00	HY	17	1,005.		1,005.					0.	
30	2 NOTEBOOKS OFFICE EQUIPMENT	08/19/13	200DB	5.00	HY	17	1,450.		1,450.					0.	
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11/30/13	SL	39.00	MM	17	98,200.				98,200.	17,941.		2,518.	20,459.
33	INJECTION MOLDING PRESS MOLDS AND DIES	06/30/15	200DB	5.00	HY	17	35,854.		35,854.					0.	
34	2015 RENTALS RENTAL EQUIPMENT	06/30/15	200DB	5.00	HY	17	29,774.		29,774.					0.	
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/30/15	200DB	5.00	HY	17	5,186.		5,186.					0.	
37	ELECTRICAL WORK LEASEHOLD IMPROVEMENTS	12/20/19	SL	39.00	MM	17	11,500.				11,500.	307.		295.	602.
38	(D)PATENT EXPENSE PATENTS	01/01/09	197	180M		43	15,549.				15,549.	12,444.		951.	13,395.
	* OTHER TOTAL OTHER						1,031,401.		74,035.	131,904.	825,462.	679,210.		6,846.	686,056.
	BUILDINGS														
2	BUILDING	04/26/84	SL	18.00		16	110,000.				110,000.	110,000.		0.	110,000.

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

2021 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION

OTHER

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
	* OTHER TOTAL BUILDINGS						110,000.				110,000.	110,000.		0.	110,000.
	TRANSPORTATION EQUIPMENT														
32	2014 HONDA RIDGELINE	07/21/14	200DB	5.00	HY	21	37,973.		25,000.	6,487.	6,486.	6,486.		0.	6,486.
36	2016 FORD CARGO VAN	11/23/16	SL	5.00	MQ	21	30,325.		25,000.	2,663.	2,662.	2,662.		0.	2,662.
	* OTHER TOTAL TRANSPORTATION EQUIP						68,298.		50,000.	9,150.	9,148.	9,148.		0.	9,148.
	LAND														
1	LAND	04/26/84	L				12,800.				12,800.			0.	
	* OTHER TOTAL LAND						12,800.				12,800.	0.		0.	0.
	* GRAND TOTAL OTHER DEPR & AMORT						1,222,499.		124,035.	141,054.	957,410.	798,358.		6,846.	805,204.
	CURRENT YEAR ACTIVITY														
	BEGINNING BALANCE						1,222,499.		124,035.	141,054.	957,410.	798,358.			805,204.
	ACQUISITIONS						0.		0.	0.	0.	0.			0.
	DISPOSITIONS/RETIRED						15,549.		0.	0.	15,549.	12,444.			13,395.
	ENDING BALANCE						1,206,950.		124,035.	141,054.	941,861.	785,914.			791,809.

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

Form **4562**

Department of the Treasury
Internal Revenue Service (99)

BOOK

Depreciation and Amortization
(Including Information on Listed Property)

OTHER

▶ **Attach to your tax return.**

▶ **Go to www.irs.gov/Form4562 for instructions and the latest information.**

OMB No. 1545-0172

2021

Attachment Sequence No. **179**

Name(s) shown on return	Business or activity to which this form relates	Identifying number
LILY CORPORATION	OTHER DEPRECIATION	36-3188312

Part I **Election To Expense Certain Property Under Section 179** **Note:** If you have any listed property, complete Part V before you complete Part I.

1	Maximum amount (see instructions)	1	1,050,000.
2	Total cost of section 179 property placed in service (see instructions)	2	
3	Threshold cost of section 179 property before reduction in limitation	3	2,620,000.
4	Reduction in limitation. Subtract line 3 from line 2. If zero or less, enter -0-	4	
5	Dollar limitation for tax year. Subtract line 4 from line 1. If zero or less, enter -0-. If married filing separately, see instructions	5	

6	(a) Description of property	(b) Cost (business use only)	(c) Elected cost

7	Listed property. Enter the amount from line 29	7	
8	Total elected cost of section 179 property. Add amounts in column (c), lines 6 and 7	8	
9	Tentative deduction. Enter the **smaller** of line 5 or line 8	9	
10	Carryover of disallowed deduction from line 13 of your 2020 Form 4562	10	
11	Business income limitation. Enter the smaller of business income (not less than zero) or line 5	11	
12	Section 179 expense deduction. Add lines 9 and 10, but don't enter more than line 11	12	
13	Carryover of disallowed deduction to 2022. Add lines 9 and 10, less line 12 ▶	13	

Note: Don't use Part II or Part III below for listed property. Instead, use Part V.

Part II **Special Depreciation Allowance and Other Depreciation (Don't** include listed property.**)**

14	Special depreciation allowance for qualified property (other than listed property) placed in service during the tax year	14	
15	Property subject to section 168(f)(1) election	15	
16	Other depreciation (including ACRS)	16	3,082.

Part III **MACRS Depreciation (Don't** include listed property. See instructions.)

Section A

17	MACRS deductions for assets placed in service in tax years beginning before 2021	17	2,813.
18	If you are electing to group any assets placed in service during the tax year into one or more general asset accounts, check here ▶ ☐		

Section B - Assets Placed in Service During 2021 Tax Year Using the General Depreciation System

	(a) Classification of property	(b) Month and year placed in service	(c) Basis for depreciation (business/investment use only - see instructions)	(d) Recovery period	(e) Convention	(f) Method	(g) Depreciation deduction
19a	3-year property						
b	5-year property						
c	7-year property						
d	10-year property						
e	15-year property						
f	20-year property						
g	25-year property			25 yrs.		S/L	
h	Residential rental property	/		27.5 yrs.	MM	S/L	
		/		27.5 yrs.	MM	S/L	
i	Nonresidential real property	/		39 yrs.	MM	S/L	
		/			MM	S/L	

Section C - Assets Placed in Service During 2021 Tax Year Using the Alternative Depreciation System

20a	Class life					S/L	
b	12-year			12 yrs.		S/L	
c	30-year	/		30 yrs.	MM	S/L	
d	40-year	/		40 yrs.	MM	S/L	

Part IV **Summary** (See instructions.)

21	Listed property. Enter amount from line 28	21	7,940.
22	**Total.** Add amounts from line 12, lines 14 through 17, lines 19 and 20 in column (g), and line 21. Enter here and on the appropriate lines of your return. Partnerships and S corporations - see instr.	22	13,835.
23	For assets shown above and placed in service during the current year, enter the portion of the basis attributable to section 263A costs	23	

Part V **Listed Property** (Include automobiles, certain other vehicles, certain aircraft, and property used for entertainment, recreation, or amusement.)

Note: For any vehicle for which you are using the standard mileage rate or deducting lease expense, complete **only** 24a, 24b, columns (a) through (c) of Section A, all of Section B, and Section C if applicable.

Section A - Depreciation and Other Information (Caution: See the instructions for limits for passenger automobiles. **)**

24a Do you have evidence to support the business/investment use claimed? [X] **Yes** [ ] **No** **24b** If "Yes," is the evidence written? [X] **Yes** [ ] **No**

(a) Type of property (list vehicles first)	(b) Date placed in service	(c) Business/ investment use percentage	(d) Cost or other basis	(e) Basis for depreciation (business/investment use only)	(f) Recovery period	(g) Method/ Convention	(h) Depreciation deduction	(i) Elected section 179 cost
25 Special depreciation allowance for qualified listed property placed in service during the tax year and used more than 50% in a qualified business use						**25**		
26 Property used more than 50% in a qualified business use:								
		%						
		%						
		%						
27 Property used 50% or less in a qualified business use:								
		%				S/L -		
		%				S/L -		
		%				S/L -		
28 Add amounts in column (h), lines 25 through 27. Enter here and on line 21, page 1						**28**	7,940.	
29 Add amounts in column (i), line 26. Enter here and on line 7, page 1							**29**	

Section B - Information on Use of Vehicles

Complete this section for vehicles used by a sole proprietor, partner, or other "more than 5% owner," or related person. If you provided vehicles to your employees, first answer the questions in Section C to see if you meet an exception to completing this section for those vehicles.

	(a) Vehicle		(b) Vehicle		(c) Vehicle		(d) Vehicle		(e) Vehicle		(f) Vehicle	
30 Total business/investment miles driven during the year (**don't** include commuting miles)												
31 Total commuting miles driven during the year												
32 Total other personal (noncommuting) miles driven												
33 Total miles driven during the year. Add lines 30 through 32												
34 Was the vehicle available for personal use during off-duty hours?	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**
35 Was the vehicle used primarily by a more than 5% owner or related person?												
36 Is another vehicle available for personal use?												

Section C - Questions for Employers Who Provide Vehicles for Use by Their Employees

Answer these questions to determine if you meet an exception to completing Section B for vehicles used by employees who **aren't** more than 5% owners or related persons.

	Yes	**No**
37 Do you maintain a written policy statement that prohibits all personal use of vehicles, including commuting, by your employees?		
38 Do you maintain a written policy statement that prohibits personal use of vehicles, except commuting, by your employees? See the instructions for vehicles used by corporate officers, directors, or 1% or more owners		
39 Do you treat all use of vehicles by employees as personal use?		
40 Do you provide more than five vehicles to your employees, obtain information from your employees about the use of the vehicles, and retain the information received?		
41 Do you meet the requirements concerning qualified automobile demonstration use?		

Note: If your answer to 37, 38, 39, 40, or 41 is "Yes," don't complete Section B for the covered vehicles.

Part VI **Amortization**

(a) Description of costs	(b) Date amortization begins	(c) Amortizable amount	(d) Code section	(e) Amortization period or percentage	(f) Amortization for this year
42 Amortization of costs that begins during your 2021 tax year:					
43 Amortization of costs that began before your 2021 tax year				**43**	951.
44 **Total.** Add amounts in column (f). See the instructions for where to report				**44**	951.

2021 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION

BOOK

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
3	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	04/01/85	SL	15.00		16	119,509.				119,509.	119,509.		0.	119,509.
4	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	06/01/89	SL	40.00		16	123,299.				123,299.	71,604.		3,082.	74,686.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04/26/84	PRE	5.00		16	72,899.				72,899.	72,899.		0.	72,899.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06/15/03	200DB	5.00	HY	17	5,645.				5,645.	5,645.		0.	5,645.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/04	200DB	5.00	HY	17	1,097.				1,097.	1,097.		0.	1,097.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/05	200DB	5.00	HY	17	1,360.				1,360.	1,360.		0.	1,360.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/06	200DB	5.00	HY	17	586.				586.	586.		0.	586.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/08	200DB	5.00	HY	17	766.		766.					0.	
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04/26/84	PRE	5.00		16	5,225.			2,613.	2,612.	2,612.		0.	2,612.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04/26/84	PRE	5.00		16	104,633.				104,633.	104,633.		0.	104,633.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/03	200DB	5.00	HY	17	278.				278.	278.		0.	278.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/04	200DB	5.00	HY	17	8,129.				8,129.	8,129.		0.	8,129.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/05	200DB	5.00	HY	17	6,384.				6,384.	6,384.		0.	6,384.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/06	200DB	5.00	HY	17	500.				500.	500.		0.	500.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/07	200DB	5.00	HY	17	2,151.				2,151.	2,151.		0.	2,151.
18	MOLDS & DIES MOLDS AND DIES	04/26/84	PRE	5.00		16	251,131.				251,131.	251,131.		0.	251,131.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	864.			864.				0.	
21	CD135 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	17,411.			17,411.				0.	

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

2021 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION BOOK

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
22	CD15 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	7,616.			7,616.				0.	
23	CD250 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	72,750.			72,750.				0.	
24	CD75 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	23,198.			23,198.				0.	
25	HT15 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	639.			639.				0.	
26	TTA RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	554.			554.				0.	
27	TTA-5 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	3,257.			3,257.				0.	
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11/02/11	200DB	5.00	HY	17	3,002.			3,002.				0.	
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01/21/13	200DB	5.00	HY	17	1,005.				1,005.			0.	
30	2 NOTEBOOKS OFFICE EQUIPMENT	08/19/13	200DB	5.00	HY	17	1,450.				1,450.			0.	
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11/30/13	SL	39.00	MM	17	98,200.				98,200.	17,941.		2,518.	20,459.
33	INJECTION MOLDING PRESS MOLDS AND DIES	06/30/15	200DB	5.00	HY	17	35,854.				35,854.	2,065.		0.	2,065.
34	2015 RENTALS RENTAL EQUIPMENT	06/30/15	200DB	5.00	HY	17	29,774.				29,774.	1,715.		0.	1,715.
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/30/15	200DB	5.00	HY	17	5,186.				5,186.	299.		0.	299.
37	ELECTRICAL WORK LEASEHOLD IMPROVEMENTS	12/20/19	SL	39.00	MM	17	11,500.				11,500.	307.		295.	602.
38	(D)PATENT EXPENSE PATENTS	01/01/09	197	180M		43	15,549.				15,549.	12,444.		951.	13,395.
	* OTHER TOTAL OTHER						1,031,401.		766.	131,904.	898,731.	683,289.	0.	6,846.	690,135.
	BUILDINGS														
2	BUILDING	04/26/84	SL	18.00		16	110,000.				110,000.	110,000.		0.	110,000.

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

2021 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION BOOK

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
	* OTHER TOTAL BUILDINGS						110,000.		0.	0.	110,000.	110,000.	0.	0.	110,000.
	TRANSPORTATION EQUIPMENT														
32	2014 HONDA RIDGELINE	07/21/14	200DB	5.00	HY	21	37,973.				37,973.	12,361.		1,875.	14,236.
36	2016 FORD CARGO VAN	11/23/16	SL	5.00	MQ	21	30,325.				30,325.	11,390.		6,065.	17,455.
	* OTHER TOTAL TRANSPORTATION EQUIP						68,298.		0.	0.	68,298.	23,751.	0.	7,940.	31,691.
	LAND														
1	LAND	04/26/84	L				12,800.				12,800.			0.	
	* OTHER TOTAL LAND						12,800.		0.	0.	12,800.	0.	0.	0.	0.
	* GRAND TOTAL OTHER DEPR & AMORT						1,222,499.		766.	131,904.	1,089,829.	817,040.	0.	14,786.	831,826.
	CURRENT YEAR ACTIVITY														
	BEGINNING BALANCE						1,222,499.		766.	131,904.	1,089,829.	817,040.			831,826.
	ACQUISITIONS						0.		0.	0.	0.	0.			0.
	DISPOSITIONS/RETIRED						15,549.		0.	0.	15,549.	12,444.			13,395.
	ENDING BALANCE						1,206,950.		766.	131,904.	1,074,280.	804,596.			818,431.

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

Form **4797**

Department of the Treasury
Internal Revenue Service

Sales of Business Property

(Also Involuntary Conversions and Recapture Amounts Under Sections 179 and 280F(b)(2))

▶ **Attach to your tax return.**

▶ **Go to www.irs.gov/Form4797 for instructions and the latest information.**

OMB No. 1545-0184

2021

Attachment Sequence No. **27**

Name(s) shown on return

LILY CORPORATION

Identifying number

36-3188312

1a	Enter the gross proceeds from sales or exchanges reported to you for 2021 on Form(s) 1099-B or 1099-S (or substitute statement) that you are including on line 2, 10, or 20	**1a**
b	Enter the total amount of gain that you are including on lines 2, 10, and 24 due to the partial dispositions of MACRS assets	**1b**
c	Enter the total amount of loss that you are including on lines 2 and 10 due to the partial dispositions of MACRS assets	**1c**

Part I Sales or Exchanges of Property Used in a Trade or Business and Involuntary Conversions From Other Than Casualty or Theft - Most Property Held More Than 1 Year (see instructions)

2 (a) Description of property	(b) Date acquired (mo., day, yr.)	(c) Date sold (mo., day, yr.)	(d) Gross sales price	(e) Depreciation allowed or allowable since acquisition	(f) Cost or other basis, plus improvements and expense of sale	(g) Gain or (loss) Subtract (f) from the sum of (d) and (e)
PATENTS						
	010109	123121	0.	13,395.	15,549.	-2,154.

3	Gain, if any, from Form 4684, line 39	**3**	
4	Section 1231 gain from installment sales from Form 6252, line 26 or 37	**4**	
5	Section 1231 gain or (loss) from like-kind exchanges from Form 8824	**5**	
6	Gain, if any, from line 32, from other than casualty or theft	**6**	
7	Combine lines 2 through 6. Enter the gain or (loss) here and on the appropriate line as follows	**7**	-2,154.
	Partnerships and S corporations. Report the gain or (loss) following the instructions for Form 1065, Schedule K, line 10, or Form 1120-S, Schedule K, line 9. Skip lines 8, 9, 11, and 12 below.		
	Individuals, partners, S corporation shareholders, and all others. If line 7 is zero or a loss, enter the amount from line 7 on line 11 below and skip lines 8 and 9. If line 7 is a gain and you didn't have any prior year section 1231 losses, or they were recaptured in an earlier year, enter the gain from line 7 as a long-term capital gain on the Schedule D filed with your return and skip lines 8, 9, 11, and 12 below.		
8	Nonrecaptured net section 1231 losses from prior years. See instructions	**8**	
9	Subtract line 8 from line 7. If zero or less, enter -0-. If line 9 is zero, enter the gain from line 7 on line 12 below. If line 9 is more than zero, enter the amount from line 8 on line 12 below and enter the gain from line 9 as a long-term capital gain on the Schedule D filed with your return. See instructions	**9**	

Part II Ordinary Gains and Losses (see instructions)

10 Ordinary gains and losses not included on lines 11 through 16 (include property held 1 year or less):

11	Loss, if any, from line 7	**11**	( )
12	Gain, if any, from line 7 or amount from line 8, if applicable	**12**	
13	Gain, if any, from line 31	**13**	
14	Net gain or (loss) from Form 4684, lines 31 and 38a	**14**	
15	Ordinary gain from installment sales from Form 6252, line 25 or 36	**15**	
16	Ordinary gain or (loss) from like-kind exchanges from Form 8824	**16**	
17	Combine lines 10 through 16	**17**	
18	For all except individual returns, enter the amount from line 17 on the appropriate line of your return and skip lines a and b below. For individual returns, complete lines a and b below.		
a	If the loss on line 11 includes a loss from Form 4684, line 35, column (b)(ii), enter that part of the loss here. Enter the loss from income-producing property on Schedule A (Form 1040), line 16. (Do not include any loss on property used as an employee.) Identify as from "Form 4797, line 18a." See instructions	**18a**	
b	Redetermine the gain or (loss) on line 17 excluding the loss, if any, on line 18a. Enter here and on Schedule 1 (Form 1040), Part I, line 4	**18b**	

Part III **Gain From Disposition of Property Under Sections 1245, 1250, 1252, 1254, and 1255** (see instructions)

19 (a) Description of section 1245, 1250, 1252, 1254, or 1255 property:	(b) Date acquired (mo., day, yr.)	(c) Date sold (mo., day, yr.)
A		
B		
C		
D		

These columns relate to the properties on lines 19A through 19D. ▶		Property A	Property B	Property C	Property D
20 Gross sales price (**Note:** See line 1a before completing.)	20				
21 Cost or other basis plus expense of sale	21				
22 Depreciation (or depletion) allowed or allowable	22				
23 Adjusted basis. Subtract line 22 from line 21	23				
24 Total gain. Subtract line 23 from line 20	24				
25 **If section 1245 property:**					
a Depreciation allowed or allowable from line 22	25a				
b Enter the **smaller** of line 24 or 25a	25b				
26 **If section 1250 property:** If straight line depreciation was used, enter -0- on line 26g, except for a corporation subject to section 291.					
a Additional depreciation after 1975	26a				
b Applicable percentage multiplied by the **smaller** of line 24 or line 26a	26b				
c Subtract line 26a from line 24. If residential rental property **or** line 24 isn't more than line 26a, skip lines 26d and 26e	26c				
d Additional depreciation after 1969 and before 1976	26d				
e Enter the **smaller** of line 26c or 26d	26e				
f Section 291 amount (corporations only)	26f				
g Add lines 26b, 26e, and 26f	26g				
27 **If section 1252 property:** Skip this section if you didn't dispose of farmland or if this form is being completed for a partnership.					
a Soil, water, and land clearing expenses	27a				
b Line 27a multiplied by applicable percentage	27b				
c Enter the **smaller** of line 24 or 27b	27c				
28 **If section 1254 property:**					
a Intangible drilling and development costs, expenditures for development of mines and other natural deposits, mining exploration costs, and depletion	28a				
b Enter the **smaller** of line 24 or 28a	28b				
29 **If section 1255 property:**					
a Applicable percentage of payments excluded from income under section 126	29a				
b Enter the **smaller** of line 24 or 29a	29b				

Summary of Part III Gains. Complete property columns A through D through line 29b before going to line 30.

30	Total gains for all properties. Add property columns A through D, line 24	30	
31	Add property columns A through D, lines 25b, 26g, 27c, 28b, and 29b. Enter here and on line 13	31	
32	Subtract line 31 from line 30. Enter the portion from casualty or theft on Form 4684, line 33. Enter the portion from other than casualty or theft on Form 4797, line 6	32	

Part IV **Recapture Amounts Under Sections 179 and 280F(b)(2) When Business Use Drops to 50% or Less** (see instructions)

			(a) Section 179	(b) Section 280F(b)(2)
33	Section 179 expense deduction or depreciation allowable in prior years	33		
34	Recomputed depreciation. See instructions	34		
35	Recapture amount. Subtract line 34 from line 33. See the instructions for where to report	35		

Qualified Business Income (Section 199A)

SSTB	PTP	Description	EIN	Ordinary Business Income (Loss)	Rental Income (Loss)	Royalty Income (Loss)	Section 1231 Gain (Loss)	Other Income (Loss)	Section 179 Deduction
		TRADE OR BUSINESS		-93,688.					
		TOTAL		-93,688.					

SSTB	PTP	Description	Other Deductions	W-2 Wages	Unadjusted Basis of Assets	Cooperative		Reserved	Reserved
						Qualified Business Income	W-2 Wages		
		TRADE OR BUSINESS		598,194.	374,566.				
		TOTAL		598,194.	374,566.				

Qualified REIT dividends .....

Section 1.263(a)-1(f) De Minimis Safe Harbor Election

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Employer Identification Number: 36-3188312

For the Year Ending December 31, 2021

Lily Corporation is making the de minimis safe harbor election under Reg. Sec. 1.263(a)-1(f).

FORM 1120S TAXES AND LICENSES STATEMENT 1

DESCRIPTION	AMOUNT
PAYROLL TAXES	45,992.
REAL ESTATE TAXES	10,346.
TOTAL TO FORM 1120S, PAGE 1, LINE 12	56,338.

FORM 1120S OTHER DEDUCTIONS STATEMENT 2

DESCRIPTION	AMOUNT
AMORTIZATION EXPENSE	951.
BANK CHARGES	3,550.
COMMISSIONS	1,200.
DUES AND SUBSCRIPTIONS	2,073.
EXHIBITIONS	9,548.
LEGAL AND PROFESSIONAL	46,471.
MERCHANT DEPOSIT FEES	12,467.
OFFICE EXPENSE	29,570.
PAYROLL SERVICE FEES	2,252.
POSTAGE	1,820.
TELEPHONE	10,565.
TRAVEL EXPENSE	965.
UTILITIES	10,348.
TOTAL TO FORM 1120S, PAGE 1, LINE 19	131,780.

SCHEDULE K NET SECTION 1231 GAIN (LOSS) STATEMENT 3

DESCRIPTION	AMOUNT
SECTION 1231 GAIN (LOSS) FROM TRADE OR BUSINESS	-2,154.
TOTAL TO SCHEDULE K, LINE 9	-2,154.

SCHEDULE K OTHER TAX-EXEMPT INCOME STATEMENT 4

DESCRIPTION	AMOUNT
PPP LOAN FORGIVEN	101,798.
TOTAL TO SCHEDULE K, LINE 16B	101,798.

FORM 1120S DISTRIBUTIONS STATEMENT 5

DESCRIPTION	DATE ACQUIRED	DATE DISTRIBUTED	COST	AMOUNT
DISTRIBUTION				124,573.
TOTAL INCLUDED IN FORM 1120S, PAGE 4, LINE 16D				124,573.

SCHEDULE K OTHER ITEMS, LINE 17D STATEMENT 6

DESCRIPTION	AMOUNT
SECTION 199A - ORDINARY INCOME (LOSS)	-93,688.
SECTION 199A - W-2 WAGES	598,194.
SECTION 199A - UNADJUSTED BASIS OF ASSETS	374,566.

SCHEDULE L OTHER CURRENT ASSETS STATEMENT 7

DESCRIPTION	BEGINNING OF TAX YEAR	END OF TAX YEAR
PREPAID INSURANCE	7,610.	
PREPAID STATE INCOME TAX		231.
TOTAL TO SCHEDULE L, LINE 6	7,610.	231.

SCHEDULE L OTHER CURRENT LIABILITIES STATEMENT 8

DESCRIPTION	BEGINNING OF TAX YEAR	END OF TAX YEAR
ACCRUED SALES TAX	4,243.	2,758.
ACCRUED WAGES	6,380.	9,966.
CREDIT CARD PAYABLE	14,786.	15,123.
PPP LOAN	101,797.	
RETIREMENT PLAN PAYABLE	5,847.	5,848.
STATE ACCRUED TAXES	5,215.	0.
TOTAL TO SCHEDULE L, LINE 18	138,268.	33,695.

SCHEDULE L ANALYSIS OF TOTAL RETAINED EARNINGS PER BOOKS STATEMENT 9

DESCRIPTION	AMOUNT
BALANCE AT BEGINNING OF YEAR	1,874,925.
NET INCOME PER BOOKS	5,956.
DISTRIBUTIONS	-124,573.
OTHER INCREASES (DECREASES)	
BALANCE AT END OF YEAR - SCHEDULE L, LINE 24, COLUMN (D)	1,756,308.

SCHEDULE M-1 INCOME RECORDED ON BOOKS THIS YEAR NOT INCLUDED ON SCHEDULE K STATEMENT 10

DESCRIPTION	AMOUNT
PPP LOAN FORGIVEN	101,798.
TOTAL TO SCHEDULE M-1, LINE 5	101,798.

SCHEDULE M-2 ACCUMULATED ADJUSTMENTS ACCOUNT - OTHER ADDITIONS STATEMENT 11

DESCRIPTION	AMOUNT
PPP LOAN EXPENSES	101,798.
TOTAL TO SCHEDULE M-2, LINE 3 - COLUMN (A)	101,798.

SCHEDULE M-2 OTHER ADJUSTMENTS ACCOUNT - OTHER ADDITIONS STATEMENT 12

DESCRIPTION	AMOUNT
PPP LOAN FORGIVEN	101,798.
TOTAL TO SCHEDULE M-2, LINE 3 - COLUMN (D)	101,798.

SCHEDULE M-2 ACCUMULATED ADJUSTMENTS ACCOUNT- OTHER REDUCTIONS STATEMENT 13

DESCRIPTION	AMOUNT
NET SECTION 1231 LOSS	2,154.
TOTAL TO SCHEDULE M-2, LINE 5 - COLUMN (A)	2,154.

SCHEDULE M-2 OTHER ADJUSTMENTS ACCOUNT - OTHER REDUCTIONS STATEMENT 14

DESCRIPTION	AMOUNT
PPP LOAN EXPENSES	101,798.
TOTAL TO SCHEDULE M-2, LINE 5 - COLUMN (D)	101,798.

FORM 1125-A OTHER COSTS STATEMENT 15

DESCRIPTION	AMOUNT
AUTO EXPENSE	3,720.
FREIGHT AND DELIVERY	6,868.
INSURANCE	36,714.
RENT	8,400.
REPAIRS AND MAINTENANCE	17,253.
RESEARCH & DEVELOPMENT	8,728.
SHOP SUPPLIES	5,342.
SMALL TOOLS	677.
SUBLET LABOR	4,790.
TRASH REMOVAL	12,415.
TRAVEL	19,115.
UTILITIES	1,341.
WORKSHOPS & SEMINARS	348.
TOTAL TO LINE 5	125,711.

FORM 4562, PART V LISTED PROPERTY INFORMATION-MORE THAN 50% STATEMENT 16

(A) DESCRIPTION	(B) DATE	(C) BUS. %	(D) COST	(E) BASIS	(F) LIFE	(G) MTH/CV	(H) DEDUCTION	(I) 179 ELECTED
2014 HONDA RIDGELINE	07/21/14	100.00	37,973.	6,486.	5.00	200DB-HY		
2016 FORD CARGO VAN	11/23/16	100.00	30,325.	2,662.	5.00	SL -MQ		
TOTAL TO FORM 4562, PART V, LINE 26								

(J) AUTO NO	(K) TOTAL MILES	(L) BUSINESS MILES	(M) COMMUTING MILES	(N) PERSONAL MILES	(O) WAS VEH. AVAIL.? Y	(O) N	(P) > 5% OWNER? Y	(P) N	(Q) ANOTHER VEH. AVAILABLE? Y	(Q) N
2014 HONDA RIDGELINE										
2016 FORD CARGO VAN										

ALTERNATIVE MINIMUM TAX DEPRECIATION REPORT

Asset No.	Description	Date Acquired	AMT Method	AMT Life	AMT Cost Or Basis	AMT Accumulated	Regular Depreciation	AMT Depreciation	AMT Adjustment
	IMPROVEMENTS LEASEHOLD								
4	IMPROVEMENTS	06 01 89		40.00	123,299.	6,164.	3,082.	3,082.	0.
	NEW ROOF LEASEHOLD								
31	IMPROVEMENTS	11 30 13	SL	39.00	98,200.	7,554.	2,518.	2,518.	0.
	ELECTRICAL WORK LEASEHOLD								
37	IMPROVEMENTS	12 20 19	SL	39.00	11,500.	307.	295.	295.	0.
	TOTALS				232,999.	14,025.	5,895.	5,895.	0.

2021 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
3	IMPROVEMENTS LEASEHOLD IMPROVEME	04 01 85	SL	15.00	16	119,509.			119,509.	119,509.		0.
4	IMPROVEMENTS LEASEHOLD IMPROVEME	06 01 89	SL	40.00	16	123,299.			123,299.	71,604.		3,082.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	16	72,899.			72,899.	72,899.		0.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06 15 03	200DB	5.00	17	5,645.			5,645.	5,645.		0.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 04	200DB	5.00	17	1,097.			1,097.	1,097.		0.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 05	200DB	5.00	17	1,360.			1,360.	1,360.		0.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 06	200DB	5.00	17	586.			586.	586.		0.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 08	200DB	5.00	17	766.		766.				0.
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	16	5,225.		2,613.	2,612.	2,612.		0.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04 26 84	PRE	5.00	16	104,633.			104,633.	104,633.		0.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 03	200DB	5.00	17	278.			278.	278.		0.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 04	200DB	5.00	17	8,129.			8,129.	8,129.		0.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 05	200DB	5.00	17	6,384.			6,384.	6,384.		0.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 06	200DB	5.00	17	500.			500.	500.		0.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 07	200DB	5.00	17	2,151.			2,151.	2,151.		0.
18	MOLDS & DIES MOLDS AND DIES	04 26 84	PRE	5.00	16	251,131.			251,131.	251,131.		0.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	864.		864.				0.
21	CD135 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	17,411.		17,411.				0.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

2021 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
22	CD15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	7,616.		7,616.				0.
23	CD250 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	72,750.		72,750.				0.
24	CD75 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	23,198.		23,198.				0.
25	HT15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	639.		639.				0.
26	TTA RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	554.		554.				0.
27	TTA-5 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	3,257.		3,257.				0.
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11 02 11	200DB	5.00	17	3,002.		3,002.				0.
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01 21 13	200DB	5.00	17	1,005.		1,005.				0.
30	2 NOTEBOOKS OFFICE EQUIPMENT	08 19 13	200DB	5.00	17	1,450.		1,450.				0.
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11 30 13	SL	39.00	17	98,200.			98,200.	17,941.		2,518.
33	INJECTION MOLDING PRESS MOLDS AND DIE	06 30 15	200DB	5.00	17	35,854.		35,854.				0.
34	2015 RENTALS RENTAL EQUIPMENT	06 30 15	200DB	5.00	17	29,774.		29,774.				0.
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 30 15	200DB	5.00	17	5,186.		5,186.				0.
37	ELECTRICAL WORK LEASEHOLD IMPROVEME	12 20 19	SL	39.00	17	11,500.			11,500.	307.		295.
	* OTHER TOTAL OTHER					1015852.		205,939.	809,913.	666,766.		5,895.
	BUILDINGS											
2	BUILDING	04 26 84	SL	18.00	16	110,000.			110,000.	110,000.		0.
	* OTHER TOTAL BUILDINGS					110,000.			110,000.	110,000.		0.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

2021 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
	TRANSPORTATION EQUIPMENT											
32	2014 HONDA RIDGELINE	07 21 14	200DB	5.00	21	37,973.		31,487.	6,486.	6,486.		0.
36	2016 FORD CARGO VAN	11 23 16	SL	5.00	21	30,325.		27,663.	2,662.	2,662.		0.
	* OTHER TOTAL TRANSPORTATION EQUI					68,298.		59,150.	9,148.	9,148.		0.
	LAND											
1	LAND	04 26 84	L			12,800.			12,800.			0.
	* OTHER TOTAL LAND					12,800.			12,800.	0.		0.
	* GRAND TOTAL OTHER DEPRECIATION					1206950.		265,089.	941,861.	785,914.		5,895.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

- NEXT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Unadjusted Cost Or Basis	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Amount Of Depreciation
3	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	04 01 85	SL	15.00	119,509.		119,509.	119,509.	0.
4	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	06 01 89	SL	40.00	123,299.		123,299.	74,686.	3,082.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	72,899.		72,899.	72,899.	0.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06 15 03	200DB	5.00	5,645.		5,645.	5,645.	0.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 04	200DB	5.00	1,097.		1,097.	1,097.	0.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 05	200DB	5.00	1,360.		1,360.	1,360.	0.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 06	200DB	5.00	586.		586.	586.	0.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 08	200DB	5.00	766.	766.			0.
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	5,225.	2,613.	2,612.	2,612.	0.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04 26 84	PRE	5.00	104,633.		104,633.	104,633.	0.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 03	200DB	5.00	278.		278.	278.	0.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 04	200DB	5.00	8,129.		8,129.	8,129.	0.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 05	200DB	5.00	6,384.		6,384.	6,384.	0.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 06	200DB	5.00	500.		500.	500.	0.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 07	200DB	5.00	2,151.		2,151.	2,151.	0.
18	MOLDS & DIES MOLDS AND DIES	04 26 84	PRE	5.00	251,131.		251,131.	251,131.	0.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	864.	864.			0.
21	CD135 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17,411.	17,411.			0.
22	CD15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	7,616.	7,616.			0.
23	CD250 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	72,750.	72,750.			0.
24	CD75 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	23,198.	23,198.			0.
25	HT15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	639.	639.			0.
26	TTA RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	554.	554.			0.
27	TTA-5 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	3,257.	3,257.			0.
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11 02 11	200DB	5.00	3,002.	3,002.			0.
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01 21 13	200DB	5.00	1,005.	1,005.			0.
30	2 NOTEBOOKS OFFICE EQUIPMENT	08 19 13	200DB	5.00	1,450.	1,450.			0.
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11 30 13	SL	39.00	98,200.		98,200.	20,459.	2,518.
33	INJECTION MOLDING PRESS MOLDS AND DIES	06 30 15	200DB	5.00	35,854.	35,854.			0.
34	2015 RENTALS RENTAL EQUIPMENT	06 30 15	200DB	5.00	29,774.	29,774.			0.
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 30 15	200DB	5.00	5,186.	5,186.			0.
37	ELECTRICAL WORK LEASEHOLD IMPROVEMENTS	12 20 19	SL	39.00	11,500.		11,500.	602.	295.

(D) - Asset disposed * ITC, Section 179, Salvage, HR 3090, Commercial Revitalization Deduction, GO Zone

2022 DEPRECIATION AND AMORTIZATION REPORT

- NEXT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Unadjusted Cost Or Basis	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Amount Of Depreciation
	* OTHER TOTAL OTHER				1015852.	205939.	809,913.	672,661.	5,895.
	BUILDINGS								
2	BUILDING	04 26 84	SL	18.00	110,000.		110,000.	110,000.	0.
	* OTHER TOTAL BUILDINGS				110,000.	0.	110,000.	110,000.	0.
	TRANSPORTATION EQUIPMENT								
32	2014 HONDA RIDGELINE	07 21 14	200DB	5.00	37,973.	31,487.	6,486.	6,486.	0.
36	2016 FORD CARGO VAN	11 23 16	SL	5.00	30,325.	27,663.	2,662.	2,662.	0.
	* OTHER TOTAL TRANSPORTATION EQUIP				68,298.	59,150.	9,148.	9,148.	0.
	LAND								
1	LAND	04 26 84	L		12,800.		12,800.		0.
	* OTHER TOTAL LAND				12,800.	0.	12,800.	0.	0.
	* GRAND TOTAL OTHER DEPRECIATION				1206950.	265089.	941,861.	791,809.	5,895.

(D) - Asset disposed

* ITC, Section 179, Salvage, HR 3090, Commercial Revitalization Deduction, GO Zone

2021 AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Amortization	Beginning Accumulated Amortization	Current Year Deduction	Ending Accumulated Amortization
38	(D)PATENT EXPENSE PATENTS	01 01 09	180M	43	15,549.			15,549.	12,444.	951.	13,395.
	* TOTAL OTHER AMORTIZATION				15,549.			15,549.	12,444.	951.	13,395.

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(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction

2022 AMORTIZATION REPORT

- NEXT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Life	Unadjusted Cost Or Basis	* Reduction In Basis	Basis For Amortization	Accumulated Amortization	Amount Of Amortization
	* TOTAL OTHER AMORTIZATION			0.	0.	0.	0.	0.
	AMT DEPRECIATION			0.		0.	0.	0.

(D) - Asset disposed

* ITC, Salvage, HR 3090, Commercial Revitalization Deduction, GO Zone

2021 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR BOOK LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
3	IMPROVEMENTS LEASEHOLD IMPROVEME	04 01 85	SL	15.00	16	119,509.			119,509.	119,509.		0.
4	IMPROVEMENTS LEASEHOLD IMPROVEME	06 01 89	SL	40.00	16	123,299.			123,299.	71,604.		3,082.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	16	72,899.			72,899.	72,899.		0.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06 15 03	200DB	5.00	17	5,645.			5,645.	5,645.		0.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 04	200DB	5.00	17	1,097.			1,097.	1,097.		0.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 05	200DB	5.00	17	1,360.			1,360.	1,360.		0.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 06	200DB	5.00	17	586.			586.	586.		0.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 08	200DB	5.00	17	766.		766.				0.
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	16	5,225.		2,613.	2,612.	2,612.		0.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04 26 84	PRE	5.00	16	104,633.			104,633.	104,633.		0.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 03	200DB	5.00	17	278.			278.	278.		0.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 04	200DB	5.00	17	8,129.			8,129.	8,129.		0.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 05	200DB	5.00	17	6,384.			6,384.	6,384.		0.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 06	200DB	5.00	17	500.			500.	500.		0.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 07	200DB	5.00	17	2,151.			2,151.	2,151.		0.
18	MOLDS & DIES MOLDS AND DIES	04 26 84	PRE	5.00	16	251,131.			251,131.	251,131.		0.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	864.		864.				0.
21	CD135 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	17,411.		17,411.				0.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
22	CD15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	7,616.		7,616.				0.
23	CD250 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	72,750.		72,750.				0.
24	CD75 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	23,198.		23,198.				0.
25	HT15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	639.		639.				0.
26	TTA RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	554.		554.				0.
27	TTA-5 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	3,257.		3,257.				0.
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11 02 11	200DB	5.00	17	3,002.		3,002.				0.
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01 21 13	200DB	5.00	17	1,005.			1,005.			0.
30	2 NOTEBOOKS OFFICE EQUIPMENT	08 19 13	200DB	5.00	17	1,450.			1,450.			0.
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11 30 13	SL	39.00	17	98,200.			98,200.	17,941.		2,518.
33	INJECTION MOLDING PRESS MOLDS AND DIE	06 30 15	200DB	5.00	17	35,854.			35,854.	2,065.		0.
34	2015 RENTALS RENTAL EQUIPMENT	06 30 15	200DB	5.00	17	29,774.			29,774.	1,715.		0.
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 30 15	200DB	5.00	17	5,186.			5,186.	299.		0.
37	ELECTRICAL WORK LEASEHOLD IMPROVEME	12 20 19	SL	39.00	17	11,500.			11,500.	307.		295.
38	(D)PATENT EXPENSE PATENTS	01 01 09	197	180M	43	15,549.			15,549.	12,444.		951.
	* OTHER TOTAL OTHER					1031401.		132,670.	898,731.	683,289.	0.	6,846.
	BUILDINGS											
2	BUILDING	04 26 84	SL	18.00	16	110,000.			110,000.	110,000.		0.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

2021 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR BOOK LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
	* OTHER TOTAL BUILDINGS					110,000.			110,000.	110,000.	0.	0.
	TRANSPORTATION EQUIPMENT											
32	2014 HONDA RIDGELINE	07 21 14	200DB	5.00	21	37,973.			37,973.	12,361.		1,875.
36	2016 FORD CARGO VAN	11 23 16	SL	5.00	21	30,325.			30,325.	11,390.		6,065.
	* OTHER TOTAL TRANSPORTATION EQUI					68,298.			68,298.	23,751.	0.	7,940.
	LAND											
1	LAND	04 26 84	L			12,800.			12,800.			0.
	* OTHER TOTAL LAND					12,800.			12,800.	0.	0.	0.
	* GRAND TOTAL OTHER DEPR & AMORT					1222499.		132,670.	1089829.	817,040.	0.	14,786.
	CURRENT ACTIVITY											
	BEGINNING BALANCE					1222499.		132,670.	1089829.	817,040.		
	ACQUISITIONS					0.		0.	0.	0.		
	DISPOSITIONS					15,549.		0.	15,549.	12,444.		
	ENDING BALANCE					1206950.		132,670.	1074280.	804,596.		

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

- NEXT YEAR BOOK LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Unadjusted Cost Or Basis	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Amount Of Depreciation
3	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	04 01 85	SL	15.00	119,509.		119,509.	119,509.	0.
4	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	06 01 89	SL	40.00	123,299.		123,299.	74,686.	3,082.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	72,899.		72,899.	72,899.	0.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06 15 03	200DB	5.00	5,645.		5,645.	5,645.	0.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 04	200DB	5.00	1,097.		1,097.	1,097.	0.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 05	200DB	5.00	1,360.		1,360.	1,360.	0.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 06	200DB	5.00	586.		586.	586.	0.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 08	200DB	5.00	766.	766.			0.
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	5,225.	2,613.	2,612.	2,612.	0.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04 26 84	PRE	5.00	104,633.		104,633.	104,633.	0.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 03	200DB	5.00	278.		278.	278.	0.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 04	200DB	5.00	8,129.		8,129.	8,129.	0.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 05	200DB	5.00	6,384.		6,384.	6,384.	0.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 06	200DB	5.00	500.		500.	500.	0.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 07	200DB	5.00	2,151.		2,151.	2,151.	0.
18	MOLDS & DIES MOLDS AND DIES	04 26 84	PRE	5.00	251,131.		251,131.	251,131.	0.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	864.	864.			0.
21	CD135 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17,411.	17,411.			0.
22	CD15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	7,616.	7,616.			0.
23	CD250 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	72,750.	72,750.			0.
24	CD75 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	23,198.	23,198.			0.
25	HT15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	639.	639.			0.
26	TTA RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	554.	554.			0.
27	TTA-5 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	3,257.	3,257.			0.
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11 02 11	200DB	5.00	3,002.	3,002.			0.
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01 21 13	200DB	5.00	1,005.		1,005.		0.
30	2 NOTEBOOKS OFFICE EQUIPMENT	08 19 13	200DB	5.00	1,450.		1,450.		0.
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11 30 13	SL	39.00	98,200.		98,200.	20,459.	2,518.
33	INJECTION MOLDING PRESS MOLDS AND DIES	06 30 15	200DB	5.00	35,854.		35,854.	2,065.	0.
34	2015 RENTALS RENTAL EQUIPMENT	06 30 15	200DB	5.00	29,774.		29,774.	1,715.	0.
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 30 15	200DB	5.00	5,186.		5,186.	299.	0.
37	ELECTRICAL WORK LEASEHOLD IMPROVEMENTS	12 20 19	SL	39.00	11,500.		11,500.	602.	295.

(D) - Asset disposed * ITC, Section 179, Salvage, HR 3090, Commercial Revitalization Deduction, GO Zone

- NEXT YEAR BOOK LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Unadjusted Cost Or Basis	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Amount Of Depreciation
	* OTHER TOTAL OTHER				1015852.		883,182.	676,740.	5,895.
	BUILDINGS								
2	BUILDING	04 26 84	SL	18.00	110,000.		110,000.	110,000.	0.
	* OTHER TOTAL BUILDINGS				110,000.		110,000.	110,000.	0.
	TRANSPORTATION EQUIPMENT								
32	2014 HONDA RIDGELINE	07 21 14	200DB	5.00	37,973.		37,973.	14,236.	1,875.
36	2016 FORD CARGO VAN	11 23 16	SL	5.00	30,325.		30,325.	17,455.	0.
	* OTHER TOTAL TRANSPORTATION EQUIP				68,298.		68,298.	31,691.	1,875.
	LAND								
1	LAND	04 26 84	L		12,800.		12,800.		0.
	* OTHER TOTAL LAND				12,800.		12,800.	0.	0.
	* GRAND TOTAL OTHER DEPR & AMORT				1206950.		1074280.	818,431.	7,770.

(D) - Asset disposed * ITC, Section 179, Salvage, HR 3090, Commercial Revitalization Deduction, GO Zone

Schedule K-1 (Form 1120-S)

Department of the Treasury
Internal Revenue Service

2021

For calendar year 2021, or tax year beginning _____ ending _____

☐ Final K-1 ☐ Amended K-1 OMB No. 1545-0123

Shareholder's Share of Income, Deductions, Credits, etc. ▶ See separate instructions.

Part I Information About the Corporation

A Corporation's employer identification number
36-3188312

B Corporation's name, address, city, state, and ZIP code

LILY CORPORATION
240 S. BROADWAY
AURORA, IL 60505

C IRS Center where corporation filed return
E-FILE

D Corporation's total number of shares
Beginning of tax year 1,500.00
End of tax year 1,500.00

Part II Information About the Shareholder

E Shareholder's identifying number
332-32-8069

F Shareholder's name, address, city, state, and ZIP code

LILY TROUT
480 DELNOR GLEN DRIVE
ST. CHARLES, IL 60174

G Current year allocation percentage ... 96.200000 %

H Shareholder's number of shares
Beginning of tax year 1,443.00
End of tax year 1,443.00

I Loans from shareholder
Beginning of tax year ..... $ _____
End of tax year ..... $ _____

For IRS Use Only

Part III Shareholder's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) -90,128.	13	Credits
2	Net rental real estate inc (loss)		
3	Other net rental income (loss)		
4	Interest income		
5a	Ordinary dividends		
5b	Qualified dividends	14	Schedule K-3 is attached if checked ..... ▶ ☐
6	Royalties	15	Alternative min tax (AMT) items
7	Net short-term capital gain (loss)		
8a	Net long-term capital gain (loss)		
8b	Collectibles (28%) gain (loss)		
8c	Unrecaptured sec 1250 gain		
9 *	Net section 1231 gain (loss) -2,072.	16 B*	Items affecting shareholder basis 97,930.
10	Other income (loss)	D*	119,839.
		17 V	Other information * STMT
11	Section 179 deduction	AC	* STMT
12	Other deductions		

18 ☐ More than one activity for at-risk purposes*
19 ☐ More than one activity for passive activity purposes*

*See attached statement for additional information.

SCHEDULE K-1 NET SECTION 1231 GAIN (LOSS), BOX 9

DESCRIPTION	AMOUNT	SHAREHOLDER FILING INSTRUCTIONS
FROM TRADE OR BUSINESS	-2,072.	SEE SHAREHOLDERS INSTRUCTIONS
TOTAL	-2,072.	

SCHEDULE K-1 OTHER TAX-EXEMPT INCOME, BOX 16, CODE B

DESCRIPTION	AMOUNT	SHAREHOLDER FILING INSTRUCTIONS
PPP LOAN FORGIVEN	97,930.	
TOTAL	97,930.	

SCHEDULE K-1 DISTRIBUTIONS
BOX 16, CODE D

DESCRIPTION	DATE	AMOUNT	FILING INSTRUCTIONS
DISTRIBUTION		119,839.	
TOTAL		119,839.	

SCHEDULE K-1 SECTION 199A ADDITIONAL INFORMATION

THE SECTION 199A AMOUNTS TO BE USED IN THE CALCULATION OF THE QUALIFIED BUSINESS INCOME DEDUCTION ON YOUR 1040/1041 RETURN ARE REPORTED ON LINE 17, UNDER CODE V. PLEASE CONSULT YOUR TAX ADVISOR REGARDING THE CALCULATION OF QUALIFIED BUSINESS INCOME DEDUCTION, INCLUDING THE POSSIBLE AGGREGATIONS AND LIMITATIONS THAT MAY APPLY AND THE FILING OF THE 1.199A-4(C)(2)(I) ANNUAL DISCLOSURE STATEMENT.

SCHEDULE K-1 SECTION 199A ITEMS, BOX 17
CODE V

DESCRIPTION	AMOUNT
TRADE OR BUSINESS	
ORDINARY INCOME(LOSS)	-90,128.
W-2 WAGES	575,463.
UNADJUSTED BASIS	360,332.

SCHEDULE K-1 GROSS RECEIPTS FOR SECTION 448(C), BOX 17, CODE AC

DESCRIPTION	AMOUNT
GROSS RECEIPTS - CURRENT YEAR	1,649,412.

List of Codes

This list identifies the codes used on Schedule K-1 for all shareholders. For detailed reporting and filing information, see the specific line instructions, earlier, and the instructions for your income tax return.

Box 10. Other income (loss)

Code

- A Other portfolio income (loss)
- B Involuntary conversions
- C Section 1256 contracts & straddles
- D Mining exploration costs recapture
- E Section 951A(a) income inclusions
- F Inclusions of subpart F income
- G Section 951(a)(1)(B) inclusions
- H Other income (loss)

Box 12. Other deductions

- A Cash contributions (60%)
- B Cash contributions (30%)
- C Noncash contributions (50%)
- D Noncash contributions (30%)
- E Capital gain property to a 50% limit organization (30%)
- F Capital gain property (20%)
- G Contributions (100%)
- H Investment interest expense
- I Deductions - royalty income
- J Section 59(e)(2) expenditures
- K Reserved for future use
- L Deductions - portfolio (other)
- M Preproductive period expenses
- N Reserved for future use
- O Reforestation expense deduction
- P Reserved for future use
- Q Reserved for future use
- R Reserved for future use
- S Other deductions

Box 13. Credits

- A Reserved for future use
- B Reserved for future use
- C Low-income housing credit (section 42(j)(5)) from post-2007 buildings
- D Low-income housing credit (other) from post-2007 buildings
- E Qualified rehabilitation expenditures (rental real estate)
- F Other rental real estate credits
- G Other rental credits
- H Undistributed capital gains credit
- I Biofuel producer credit
- J Work opportunity credit
- K Disabled access credit
- L Empowerment zone employment credit
- M Credit for increasing research activities
- N Credit for employer social security and Medicare taxes
- O Backup withholding
- P Other credits

Box 15. Alternative minimum tax (AMT) items

- A Post-1986 depreciation adjustment
- B Adjusted gain or loss
- C Depletion (other than oil & gas)
- D Oil, gas, & geothermal-gross income
- E Oil, gas, & geothermal-deductions
- F Other AMT items

Box 16. Items affecting shareholder basis

- A Tax-exempt interest income
- B Other tax-exempt income
- C Nondeductible expenses
- D Distributions
- E Repayment of loans from shareholders
- F Foreign taxes paid or accrued

Box 17. Other information

- A Investment income
- B Investment expenses
- C Qualified rehabilitation expenditures (other than rental real estate)
- D Basis of energy property
- E Recapture of low-income housing credit (section 42(j)(5))
- F Recapture of low-income housing credit (other)
- G Recapture of investment credit
- H Recapture of other credits
- I Look-back interest-completed long-term contracts
- J Look-back interest-income forecast method
- K Dispositions of property with section 179 deductions
- L Recapture of section 179 deduction
- M Section 453(l)(3) information
- N Section 453A(c) information
- O Section 1260(b) information
- P Interest allocable to production expenditures
- Q CCF nonqualified withdrawals
- R Depletion information-oil and gas
- S Reserved for future use
- T Reserved for future use
- U Net investment income
- V Section 199A information
- W Reserved for future use
- X Reserved for future use
- Y Reserved for future use
- Z Reserved for future use
- AA Excess taxable income
- AB Excess business interest income
- AC Gross receipts for section 448(c)
- AD Other information

Shareholder Basis Worksheet

Shareholder Number: 1	Year Ended: DECEMBER 31, 2021
Shareholder Name:	S Corporation Name:
LILY TROUT	LILY CORPORATION
Shareholder ID Number: 332-32-8069	S Corporation ID Number:
Ownership Percentage: 96.200000 %	36-3188312

Stock Basis

1. a. Stock basis, beginning of year (Not less than zero)	1,340,470.		
b. Additional capital contributions		1,340,470.	
2. Increases:			
a. Ordinary income from trade or business			
b. Net income from rental real estate activities			
c. Net income from other rental activities			
d. Net short-term capital gains			
e. Net long-term capital gains			
f. Other portfolio income			
g. Net gain under Section 1231			
h. Other income			
i. Tax exempt interest income			
j. Other tax-exempt income	97,930.		
k. Section 179 recapture			
l. Depletion (other than oil and gas) in excess of basis			
m. Other increases:			
3. Total increases (Add lines 2(a) through 2(m))		97,930.	
4. Total increases to stock basis (Add lines 1 and 3)			1,438,400.
5. Less: Distributions			119,839.
6. Subtract line 5 from line 4 (Not less than zero)			1,318,561.
7. Decreases:			
a. Ordinary losses from trade or business	90,128.		
b. Net losses from rental real estate activities			
c. Net losses from other rental activities			
d. Net short-term capital losses			
e. Net long-term capital losses			
f. Other portfolio losses			
g. Net losses under Section 1231	2,072.		
h. Other deductions			
i. Charitable contributions			
j. Section 179 expense deduction			
k. Deductions related to portfolio income (losses)			
l. Interest expense on investment debts			
m. Foreign taxes paid or accrued			
n. Section 59(e) expenditures			
o. Nondeductible expenses			
p. Oil and gas depletion			
q. Other decreases:			
		92,200.	
r. Disallowed prior year's losses and deductions			
8. Total decreases (Add lines 7(a) through 7(r))			92,200.
9. Net increases or decreases to basis (Subtract line 8 from line 6)			1,226,361.
10. Less: Net increases applied to debt basis			
11. Stock basis, end of year (Subtract line 10 from line 9) (Not less than zero)			1,226,361.

Shareholder Basis Worksheet, Continued

Shareholder Number: 1
Shareholder Name: LILY TROUT

Year Ended: DECEMBER 31, 2021
Shareholder ID Number: 332-32-8069

Debt Basis

12.	Debt basis, beginning of year (Not less than zero)		0.
13.	Loans made during the year		
14.	Restoration of debt basis (from line 10)		
15.	Subtotal (Add lines 13 and 14)		
16.	Less: Loan repayments		
17.	Gain from loan repayments		
18.	Other adjustments:		
19.	Subtotal (Combine lines 12, 15, 16, 17 and 18)		
20.	Applied against excess loss and deductions		
21.	Debt basis, end of year (Not less than zero)		0.
22.	Total shareholder stock and debt basis, end of year (Add lines 11 and 21) (Not less than zero)		1,226,361.

Gain on Distributions

23.	Distributions	119,839.
24.	Less: Basis before distributions	1,438,400.
25.	Enter excess of line 23 over line 24 (capital gain)	

Carryover

		Total Disallowed Losses	Debt Basis Applied Against Excess Losses and Deductions
26.	Beginning of year		
27.	Add: Losses and deductions this year	92,200.	
28.	Less: Applied this year	92,200.	
29.	Less: Excess nondeductible expenses		
30.	End of year (Not less than zero)	0.	

Form **7203**
(December 2021)
Department of the Treasury
Internal Revenue Service

S Corporation Shareholder Stock and Debt Basis Limitations

▶ **Attach to your tax return.**
▶ **Go to www.irs.gov/Form7203 for instructions and the latest information.**

OMB No. 1545-2302

2021
Attachment Sequence No. **203**

Name(s) shown on return	**Identifying number**
LILY TROUT	332-32-8069
Name of S corporation	**Employer identification number**
LILY CORPORATION	36-3188312

Stock block (see instructions) ▶

Part I Shareholder Stock Basis

1	Stock basis at the beginning of the corporation's tax year			1	1,340,470.
2	Basis from any capital contributions made or additional stock acquired during the tax year			2	
3a	Ordinary business income (enter losses in Part III)	3a			
b	Net rental real estate income (enter losses in Part III)	3b			
c	Other net rental income (enter losses in Part III)	3c			
d	Interest income	3d			
e	Ordinary dividends	3e			
f	Royalties	3f			
g	Net capital gains (enter losses in Part III)	3g			
h	Net section 1231 gain (enter losses in Part III)	3h			
i	Other income (enter losses in Part III)	3i			
j	Excess depletion adjustment	3j			
k	Tax-exempt income	3k	97,930.		
l	Recapture of business credits	3l			
m	Other items that increase stock basis	3m			
4	Add lines 3a through 3m			4	97,930.
5	Stock basis before distributions. Add lines 1, 2, and 4			5	1,438,400.
6	Distributions (excluding dividend distributions)			6	119,839.
	Note: If line 6 is larger than line 5, subtract line 5 from line 6 and report the result as a capital gain on Form 8949 and Schedule D. See instructions.				
7	Stock basis after distributions. Subtract line 6 from line 5. If the result is zero or less, enter -0-, skip lines 8 through 14, and enter -0- on line 15			7	1,318,561.
8a	Nondeductible expenses	8a			
b	Depletion for oil and gas	8b			
c	Business credits (sections 50(c)(1) and (5))	8c			
9	Add lines 8a through 8c			9	
10	Stock basis before loss and deduction items. Subtract line 9 from line 7. If the result is zero or less, enter -0-, skip lines 11 through 14, and enter -0- on line 15			10	1,318,561.
11	Allowable loss and deduction items. Enter the amount from line 47, column (c)			11	92,200.
12	Debt basis restoration (see net increase in instructions for line 23)			12	
13	Other items that decrease stock basis			13	
14	Add lines 11, 12, and 13			14	92,200.
15	Stock basis at the end of the corporation's tax year. Subtract line 14 from line 10. If the result is zero or less, enter -0-			15	1,226,361.

Part II Shareholder Debt Basis

Section A - Amount of Debt (If more than three debts, see instructions.)

Description	Debt 1 ☐ Formal note ☐ Open account debt	Debt 2 ☐ Formal note ☐ Open account debt	Debt 3 ☐ Formal note ☐ Open account debt	Total
16 Loan balance at the beginning of the corporation's tax year				
17 Additional loans (see instructions)				
18 Loan balance before repayment. Combine lines 16 and 17				
19 Principal portion of debt repayment (this line doesn't include interest)	( )	( )	( )	( )
20 Loan balance at the end of the corporation's tax year. Combine lines 18 and 19				

Part II Shareholder Debt Basis *(continued)*

Section B - Adjustments to Debt Basis

Description	Debt 1	Debt 2	Debt 3	Total
21 Debt basis at the beginning of the corporation's tax year				
22 Enter the amount, if any, from line 17				
23 Debt basis restoration (see instructions)				
24 Debt basis before repayment. Combine lines 21, 22, and 23				
25 Divide line 24 by line 18				
26 Nontaxable debt repayment. Multiply line 25 by line 19				
27 Debt basis before nondeductible expenses and losses. Subtract line 26 from line 24				
28 Nondeductible expenses and oil and gas depletion deductions in excess of stock basis				
29 Debt basis before losses and deductions. Subtract line 28 from line 27. If the result is zero or less, enter -0-				
30 Allowable losses in excess of stock basis. Enter the amount from line 47, column (d)				
31 **Debt basis at the end of the corporation's tax year.** Subtract line 30 from line 29. If the result is zero or less, enter -0-				

Section C - Gain on Loan Repayment

32 Repayment. Enter the amount from line 19				
33 Nontaxable repayments. Enter the amount from line 26				
34 **Reportable gain**. Subtract line 33 from line 32				

Part III Shareholder Allowable Loss and Deduction Items

Description	**(a)** Current year losses and deductions	**(b)** Carryover amounts (column (e)) from the previous year	**(c)** Allowable loss from stock basis	**(d)** Allowable loss from debt basis	**(e)** Carryover amounts
35 Ordinary business loss	90,128.		90,128.		
36 Net rental real estate loss					
37 Other net rental loss					
38 Net capital loss					
39 Net section 1231 loss	2,072.		2,072.		
40 Other loss					
41 Section 179 deductions					
42 Charitable contributions					
43 Investment interest expense					
44 Section 59(e)(2) expenditures					
45 Other deductions					
46 Foreign taxes paid or accrued					
47 **Total loss.** Combine lines 35 through 46 for each column. Enter the total loss in column (c) on line 11 and enter the total loss in column (d) on line 30	92,200.		92,200.		

Schedule K-1 (Form 1120-S)

Department of the Treasury
Internal Revenue Service

2021

For calendar year 2021, or tax year beginning _____ ending _____

☐ Final K-1 ☐ Amended K-1 OMB No. 1545-0123

Shareholder's Share of Income, Deductions, Credits, etc. ▶ See separate instructions.

Part I Information About the Corporation

A Corporation's employer identification number
36-3188312

B Corporation's name, address, city, state, and ZIP code

LILY CORPORATION
240 S. BROADWAY
AURORA, IL 60505

C IRS Center where corporation filed return
E-FILE

D Corporation's total number of shares
Beginning of tax year 1,500.00
End of tax year 1,500.00

Part II Information About the Shareholder

E Shareholder's identifying number
336-54-3691

F Shareholder's name, address, city, state, and ZIP code

MICHAEL TROUT
2901 APPLLING WOOD PLACE
PLANT CITY, FL 33565

G Current year allocation percentage ... 3.800000 %

H Shareholder's number of shares
Beginning of tax year 57.00
End of tax year 57.00

I Loans from shareholder
Beginning of tax year ..... $ _____
End of tax year ..... $ _____

For IRS Use Only

Part III Shareholder's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) -3,560.	13	Credits
2	Net rental real estate inc (loss)		
3	Other net rental income (loss)		
4	Interest income		
5a	Ordinary dividends		
5b	Qualified dividends	14	Schedule K-3 is attached if checked ..... ▶ ☐
6	Royalties	15	Alternative min tax (AMT) items
7	Net short-term capital gain (loss)		
8a	Net long-term capital gain (loss)		
8b	Collectibles (28%) gain (loss)		
8c	Unrecaptured sec 1250 gain		
9 *	Net section 1231 gain (loss) -82.	16 B*	Items affecting shareholder basis 3,868.
10	Other income (loss)	D*	4,734.
		17 V	Other information * STMT
11	Section 179 deduction	AC	* STMT
12	Other deductions		

18 ☐ More than one activity for at-risk purposes*
19 ☐ More than one activity for passive activity purposes*

*See attached statement for additional information.

SCHEDULE K-1 NET SECTION 1231 GAIN (LOSS), BOX 9

DESCRIPTION	AMOUNT	SHAREHOLDER FILING INSTRUCTIONS
FROM TRADE OR BUSINESS	-82.	SEE SHAREHOLDERS INSTRUCTIONS
TOTAL	-82.	

SCHEDULE K-1 OTHER TAX-EXEMPT INCOME, BOX 16, CODE B

DESCRIPTION	AMOUNT	SHAREHOLDER FILING INSTRUCTIONS
PPP LOAN FORGIVEN	3,868.	
TOTAL	3,868.	

SCHEDULE K-1 DISTRIBUTIONS
BOX 16, CODE D

DESCRIPTION	DATE	AMOUNT	FILING INSTRUCTIONS
DISTRIBUTION		4,734.	
TOTAL		4,734.	

SCHEDULE K-1 SECTION 199A ADDITIONAL INFORMATION

THE SECTION 199A AMOUNTS TO BE USED IN THE CALCULATION OF THE QUALIFIED BUSINESS INCOME DEDUCTION ON YOUR 1040/1041 RETURN ARE REPORTED ON LINE 17, UNDER CODE V. PLEASE CONSULT YOUR TAX ADVISOR REGARDING THE CALCULATION OF QUALIFIED BUSINESS INCOME DEDUCTION, INCLUDING THE POSSIBLE AGGREGATIONS AND LIMITATIONS THAT MAY APPLY AND THE FILING OF THE 1.199A-4(C)(2)(I) ANNUAL DISCLOSURE STATEMENT.

SCHEDULE K-1 SECTION 199A ITEMS, BOX 17
CODE V

DESCRIPTION	AMOUNT
TRADE OR BUSINESS	
ORDINARY INCOME(LOSS)	-3,560.
W-2 WAGES	22,731.
UNADJUSTED BASIS	14,234.

SCHEDULE K-1 GROSS RECEIPTS FOR SECTION 448(C), BOX 17, CODE AC

DESCRIPTION	AMOUNT
GROSS RECEIPTS - CURRENT YEAR	65,154.

List of Codes

This list identifies the codes used on Schedule K-1 for all shareholders. For detailed reporting and filing information, see the specific line instructions, earlier, and the instructions for your income tax return.

Box 10. Other income (loss)

Code

- A Other portfolio income (loss)
- B Involuntary conversions
- C Section 1256 contracts & straddles
- D Mining exploration costs recapture
- E Section 951A(a) income inclusions
- F Inclusions of subpart F income
- G Section 951(a)(1)(B) inclusions
- H Other income (loss)

Box 12. Other deductions

- A Cash contributions (60%)
- B Cash contributions (30%)
- C Noncash contributions (50%)
- D Noncash contributions (30%)
- E Capital gain property to a 50% limit organization (30%)
- F Capital gain property (20%)
- G Contributions (100%)
- H Investment interest expense
- I Deductions - royalty income
- J Section 59(e)(2) expenditures
- K Reserved for future use
- L Deductions - portfolio (other)
- M Preproductive period expenses
- N Reserved for future use
- O Reforestation expense deduction
- P Reserved for future use
- Q Reserved for future use
- R Reserved for future use
- S Other deductions

Box 13. Credits

- A Reserved for future use
- B Reserved for future use
- C Low-income housing credit (section 42(j)(5)) from post-2007 buildings
- D Low-income housing credit (other) from post-2007 buildings
- E Qualified rehabilitation expenditures (rental real estate)
- F Other rental real estate credits
- G Other rental credits
- H Undistributed capital gains credit
- I Biofuel producer credit
- J Work opportunity credit
- K Disabled access credit
- L Empowerment zone employment credit
- M Credit for increasing research activities
- N Credit for employer social security and Medicare taxes
- O Backup withholding
- P Other credits

Box 15. Alternative minimum tax (AMT) items

- A Post-1986 depreciation adjustment
- B Adjusted gain or loss
- C Depletion (other than oil & gas)
- D Oil, gas, & geothermal-gross income
- E Oil, gas, & geothermal-deductions
- F Other AMT items

Box 16. Items affecting shareholder basis

- A Tax-exempt interest income
- B Other tax-exempt income
- C Nondeductible expenses
- D Distributions
- E Repayment of loans from shareholders
- F Foreign taxes paid or accrued

Box 17. Other information

- A Investment income
- B Investment expenses
- C Qualified rehabilitation expenditures (other than rental real estate)
- D Basis of energy property
- E Recapture of low-income housing credit (section 42(j)(5))
- F Recapture of low-income housing credit (other)
- G Recapture of investment credit
- H Recapture of other credits
- I Look-back interest-completed long-term contracts
- J Look-back interest-income forecast method
- K Dispositions of property with section 179 deductions
- L Recapture of section 179 deduction
- M Section 453(l)(3) information
- N Section 453A(c) information
- O Section 1260(b) information
- P Interest allocable to production expenditures
- Q CCF nonqualified withdrawals
- R Depletion information-oil and gas
- S Reserved for future use
- T Reserved for future use
- U Net investment income
- V Section 199A information
- W Reserved for future use
- X Reserved for future use
- Y Reserved for future use
- Z Reserved for future use
- AA Excess taxable income
- AB Excess business interest income
- AC Gross receipts for section 448(c)
- AD Other information

Shareholder Basis Worksheet

Shareholder Number: 2	Year Ended: DECEMBER 31, 2021
Shareholder Name:	S Corporation Name:
MICHAEL TROUT	LILY CORPORATION
Shareholder ID Number: 336-54-3691	S Corporation ID Number:
Ownership Percentage: 3.800000 %	36-3188312

Stock Basis

1. a. Stock basis, beginning of year (Not less than zero)	40,093.		
b. Additional capital contributions		40,093.	
2. Increases:			
a. Ordinary income from trade or business			
b. Net income from rental real estate activities			
c. Net income from other rental activities			
d. Net short-term capital gains			
e. Net long-term capital gains			
f. Other portfolio income			
g. Net gain under Section 1231			
h. Other income			
i. Tax exempt interest income			
j. Other tax-exempt income	3,868.		
k. Section 179 recapture			
l. Depletion (other than oil and gas) in excess of basis			
m. Other increases:			
3. Total increases (Add lines 2(a) through 2(m))		3,868.	
4. Total increases to stock basis (Add lines 1 and 3)			43,961.
5. Less: Distributions			4,734.
6. Subtract line 5 from line 4 (Not less than zero)			39,227.
7. Decreases:			
a. Ordinary losses from trade or business	3,560.		
b. Net losses from rental real estate activities			
c. Net losses from other rental activities			
d. Net short-term capital losses			
e. Net long-term capital losses			
f. Other portfolio losses			
g. Net losses under Section 1231	82.		
h. Other deductions			
i. Charitable contributions			
j. Section 179 expense deduction			
k. Deductions related to portfolio income (losses)			
l. Interest expense on investment debts			
m. Foreign taxes paid or accrued			
n. Section 59(e) expenditures			
o. Nondeductible expenses			
p. Oil and gas depletion			
q. Other decreases:			
		3,642.	
r. Disallowed prior year's losses and deductions			
8. Total decreases (Add lines 7(a) through 7(r))			3,642.
9. Net increases or decreases to basis (Subtract line 8 from line 6)			35,585.
10. Less: Net increases applied to debt basis			
11. Stock basis, end of year (Subtract line 10 from line 9) (Not less than zero)			35,585.

Shareholder Basis Worksheet, Continued

Shareholder Number: 2
Shareholder Name: MICHAEL TROUT

Year Ended: DECEMBER 31, 2021
Shareholder ID Number: 336-54-3691

Debt Basis

12.	Debt basis, beginning of year (Not less than zero)		0.
13.	Loans made during the year		
14.	Restoration of debt basis (from line 10)		
15.	Subtotal (Add lines 13 and 14)		
16.	Less: Loan repayments		
17.	Gain from loan repayments		
18.	Other adjustments:		
19.	Subtotal (Combine lines 12, 15, 16, 17 and 18)		
20.	Applied against excess loss and deductions		
21.	Debt basis, end of year (Not less than zero)		0.
22.	Total shareholder stock and debt basis, end of year (Add lines 11 and 21) (Not less than zero)		35,585.

Gain on Distributions

23.	Distributions	4,734.
24.	Less: Basis before distributions	43,961.
25.	Enter excess of line 23 over line 24 (capital gain)	

Carryover

		Total Disallowed Losses	Debt Basis Applied Against Excess Losses and Deductions
26.	Beginning of year		
27.	Add: Losses and deductions this year	3,642.	
28.	Less: Applied this year	3,642.	
29.	Less: Excess nondeductible expenses		
30.	End of year (Not less than zero)	0.	

Form **7203**
(December 2021)
Department of the Treasury
Internal Revenue Service

S Corporation Shareholder Stock and Debt Basis Limitations

▶ **Attach to your tax return.**
▶ **Go to www.irs.gov/Form7203 for instructions and the latest information.**

OMB No. 1545-2302

2021
Attachment Sequence No. **203**

Name(s) shown on return	**Identifying number**
MICHAEL TROUT	336-54-3691
Name of S corporation	**Employer identification number**
LILY CORPORATION	36-3188312

Stock block (see instructions) ▶

Part I Shareholder Stock Basis

1	Stock basis at the beginning of the corporation's tax year			1	40,093.
2	Basis from any capital contributions made or additional stock acquired during the tax year			2	
3a	Ordinary business income (enter losses in Part III)	3a			
b	Net rental real estate income (enter losses in Part III)	3b			
c	Other net rental income (enter losses in Part III)	3c			
d	Interest income	3d			
e	Ordinary dividends	3e			
f	Royalties	3f			
g	Net capital gains (enter losses in Part III)	3g			
h	Net section 1231 gain (enter losses in Part III)	3h			
i	Other income (enter losses in Part III)	3i			
j	Excess depletion adjustment	3j			
k	Tax-exempt income	3k	3,868.		
l	Recapture of business credits	3l			
m	Other items that increase stock basis	3m			
4	Add lines 3a through 3m			4	3,868.
5	Stock basis before distributions. Add lines 1, 2, and 4			5	43,961.
6	Distributions (excluding dividend distributions)			6	4,734.
	Note: If line 6 is larger than line 5, subtract line 5 from line 6 and report the result as a capital gain on Form 8949 and Schedule D. See instructions.				
7	Stock basis after distributions. Subtract line 6 from line 5. If the result is zero or less, enter -0-, skip lines 8 through 14, and enter -0- on line 15			7	39,227.
8a	Nondeductible expenses	8a			
b	Depletion for oil and gas	8b			
c	Business credits (sections 50(c)(1) and (5))	8c			
9	Add lines 8a through 8c			9	
10	Stock basis before loss and deduction items. Subtract line 9 from line 7. If the result is zero or less, enter -0-, skip lines 11 through 14, and enter -0- on line 15			10	39,227.
11	Allowable loss and deduction items. Enter the amount from line 47, column (c)			11	3,642.
12	Debt basis restoration (see net increase in instructions for line 23)			12	
13	Other items that decrease stock basis			13	
14	Add lines 11, 12, and 13			14	3,642.
15	Stock basis at the end of the corporation's tax year. Subtract line 14 from line 10. If the result is zero or less, enter -0-			15	35,585.

Part II Shareholder Debt Basis

Section A - Amount of Debt (If more than three debts, see instructions.)

Description	Debt 1 ☐ Formal note ☐ Open account debt	Debt 2 ☐ Formal note ☐ Open account debt	Debt 3 ☐ Formal note ☐ Open account debt	Total
16 Loan balance at the beginning of the corporation's tax year				
17 Additional loans (see instructions)				
18 Loan balance before repayment. Combine lines 16 and 17				
19 Principal portion of debt repayment (this line doesn't include interest)	( )	( )	( )	( )
20 Loan balance at the end of the corporation's tax year. Combine lines 18 and 19				

Part II Shareholder Debt Basis *(continued)*

Section B - Adjustments to Debt Basis

Description	Debt 1	Debt 2	Debt 3	Total
21 Debt basis at the beginning of the corporation's tax year				
22 Enter the amount, if any, from line 17				
23 Debt basis restoration (see instructions)				
24 Debt basis before repayment. Combine lines 21, 22, and 23				
25 Divide line 24 by line 18				
26 Nontaxable debt repayment. Multiply line 25 by line 19				
27 Debt basis before nondeductible expenses and losses. Subtract line 26 from line 24				
28 Nondeductible expenses and oil and gas depletion deductions in excess of stock basis				
29 Debt basis before losses and deductions. Subtract line 28 from line 27. If the result is zero or less, enter -0-				
30 Allowable losses in excess of stock basis. Enter the amount from line 47, column (d)				
31 **Debt basis at the end of the corporation's tax year.** Subtract line 30 from line 29. If the result is zero or less, enter -0-				

Section C - Gain on Loan Repayment

32 Repayment. Enter the amount from line 19				
33 Nontaxable repayments. Enter the amount from line 26				
34 **Reportable gain**. Subtract line 33 from line 32				

Part III Shareholder Allowable Loss and Deduction Items

Description	(a) Current year losses and deductions	(b) Carryover amounts (column (e)) from the previous year	(c) Allowable loss from stock basis	(d) Allowable loss from debt basis	(e) Carryover amounts
35 Ordinary business loss	3,560.		3,560.		
36 Net rental real estate loss					
37 Other net rental loss					
38 Net capital loss					
39 Net section 1231 loss	82.		82.		
40 Other loss					
41 Section 179 deductions					
42 Charitable contributions					
43 Investment interest expense					
44 Section 59(e)(2) expenditures					
45 Other deductions					
46 Foreign taxes paid or accrued					
47 **Total loss.** Combine lines 35 through 46 for each column. Enter the total loss in column (c) on line 11 and enter the total loss in column (d) on line 30	3,642.		3,642.		

2021 TAX RETURN FILING INSTRUCTIONS

ILLINOIS FORM IL-1120-ST

FOR THE YEAR ENDING

December 31, 2021

Prepared For:

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Prepared By:

DHJJ Ltd.
184 Shuman Blvd. Ste. 200
Naperville, IL 60563

To be Signed and dated by:

The appropriate corporate officer(s).

Amount of Tax:

Total tax	$	0
Less: payments and credits	$	231
Plus: other amount	$	0
Plus: interest and penalties	$	0
Overpayment	$	231

Overpayment:

Credit to your estimated tax	$	231
Other amount	$	0
Refunded to you	$	0

Make Check Payable To:

Not applicable

Mail Tax Return To:

This return has qualified for electronic filing. After you have reviewed your return for accuracy, please sign, date and return Form 8879-SO to our office. We will then transmit your return to the IDOR. Do not mail the paper copy.

Return Must Be Mailed On or Before:

Return Form 8879-SO to us by October 17, 2022.

Special Instructions:

8879-SO

State-Only e-file Signature Authorization

▶ Do not send to the Taxing Authority. This is not a tax return.

▶ Keep this form for your records.

2021

Taxpayer name: LILY CORPORATION

FEIN: 36 3188312

Part I Electronically Filed States

ILLINOIS

Part II Declaration and Signature Authorization (Be sure you get and keep a copy of your return)

Under penalties of perjury, I declare that I have examined a copy of my electronic income tax return and accompanying schedules and statements for tax year 2021, and to the best of my knowledge and belief, it is true, correct, and complete. I consent to allow my intermediate service provider, transmitter, or electronic return originator (ERO) to send my return to the taxing authority and to receive from the taxing authority **(a)** an acknowledgement of receipt or reason for rejection of the transmission, **(b)** the reason for any delay in processing the return or refund, and **(c)** the date of any refund. If applicable, I authorize the taxing authority and its designated Financial Agent to initiate an ACH electronic funds withdrawal (direct debit) entry to the financial institution account indicated in the tax preparation software for payment of my state taxes owed on this return and/or a payment of estimated tax, and the financial institution to debit the entry to this account. I further understand that this also authorizes the financial institutions involved in the processing of the electronic payment of taxes to receive confidential information necessary to answer inquiries and resolve issues related to the payment. I further acknowledge that the personal identification number (PIN) below is my signature for my electronic income tax return and, if applicable, my Electronic Funds Withdrawal Consent.

Taxpayer's PIN: check one box only

[X] I authorize DHJJ LTD. to enter or generate my PIN 88312

ERO firm name

Enter five numbers, but do not enter all zeros

as my signature on my tax year 2021 electronically filed income tax return.

[ ] I will enter my PIN as my signature on my tax year 2021 electronically filed income tax return. Check this box **only** if you are entering your own PIN **and** your return is filed using the Practitioner PIN method. The ERO must complete Part III below.

Your signature ▶ _____ Date ▶ _____

Title ▶ PRESIDENT

Part III Certification and Authentication

ERO's EFIN/PIN. Enter your six-digit EFIN followed by your five-digit self-selected PIN. 36063334663

do not enter all zeros

I certify that the above numeric entry is my PIN, which is my signature for the tax year 2021 electronically filed income tax return for the taxpayer indicated above.

ERO's signature ▶ Steve A Holden Date ▶ 05/25/2022

ERO Must Retain This Form
Do Not Submit This Form to the Taxing Authority

Illinois Department of Revenue

2021 Form IL-1120-ST

Small Business Corporation Replacement Tax Return

Due on or before the 15th day of the 3rd month following the close of the tax year.

If this return is not for calendar year 2021, enter your fiscal tax year here.
Tax year beginning _____ (month day year) , ending _____ (month day year)

WARNING This form is for tax years ending on or after December 31, 2021, and before December 31, 2022. For all other situations, see instructions to determine the correct form to use.

Enter the amount you are paying.
$ _____

Step 1: Identify your small business corporation

A Enter your complete legal business name.
If you have a name change, check this box. ☐
Name: LILY CORPORATION

B Enter your mailing address.
Check this box if either of the following apply: ☐
- this is your **first return,** or
- you have an **address change.**

C/O: _____

Mailing address: 240 S. BROADWAY
City: AURORA State: IL ZIP: 60505

C If this is the first or final return, check the applicable box(es).
☐ First return
☐ Final return (Enter the date of termination. _____ (mm dd yyyy))

D If this is a final return because you sold this business, enter the date sold (mm dd yyyy) _____ , and the new owner's FEIN.
_____

E **Apportionment Formulas.** Check the appropriate box or boxes and see the Apportionment Formula instructions.
☐ Financial organizations ☐ Transportation companies
☐ Federally regulated exchanges ☐ Sales companies

F Check this box if you attached Form IL-4562. ☐
G Check this box if you attached Illinois Schedule M (for businesses). ☐
H Check this box if you attached Schedule 80/20. ☐
I Check this box if you attached Schedule 1299-A. ☐
J Check this box if you attached the Subgroup Schedule. ☐
K Check this box if you are a 52/53 week filer. ☐
L Check this box if you elected to file and pay Pass-through Entity Tax. See instr. ☐
M If you are paying Pass-through Entity Tax and you annualized your income on Form IL-2220, check this box and **attach** Form IL-2220. ☐

N Enter your federal employer identification number (FEIN).
36-3188312

O ☐ Check this box if you are a member of a unitary business group, and enter the FEIN of the member who prepared the Schedule UB, Combined Apportionment for Unitary Business Group. **Attach** Schedule UB to this return.
_____

P Enter your North American Industry Classification System (NAICS) Code. See instructions.
333100

Q Enter your Illinois corporate file (charter) number issued by the Secretary of State.
5277 0467

R Enter the city, state, and ZIP code where your accounting records are kept. (Use the two-letter postal abbreviation, *e.g.,* IL, GA, etc.)
AURORA IL 60505
City State ZIP

S If you are making the business income election to treat all nonbusiness income as business income, check this box and enter zero on Lines 36 and 44. ☐

T If you have completed the following, check the box and **attach** the federal form(s) to this return.
☐ Federal Form 8886 ☐ Federal Sch. M-3, Part II, Line 10

U If you are making a discharge of indebtedness adjustment on Form IL-1120-ST, Line 48, check this box and **attach** federal Form 982 and a detailed statement. ☐

V Check this box if your business activity is protected under Public Law 86-272. ☐

Step 2: Figure your ordinary income or loss

(Whole dollars only)

1	Ordinary income or loss, or equivalent from federal Schedule K.	1	-93,688 .00
2	Net income or loss from all rental real estate activities.	2	.00
▼ 3	Net income or loss from other rental activities.	3	.00
4	Portfolio income or loss.	4	.00
5	Net IRC Section 1231 gain or loss.	5	-2,154 .00
6	All other items of income or loss that were not included in the computation of income or loss on Page 1 of U.S. Form 1120-S. See instructions. Identify: _____	6	.00
7	Add Lines 1 through 6. This is your ordinary income or loss.	7	-95,842 .00

Step 3: Figure your unmodified base income or loss

8	Charitable contributions.	8	.00
9	Expense deduction under IRC Section 179.	9	.00
10	Interest on investment indebtedness.	10	.00
11	All other items of expense that were not deducted in the computation of ordinary income or loss on Page 1 of U.S. Form 1120-S. See instructions. Identify: _____	11	.00
12	Add Lines 8 through 11.	12	.00
▲ 13	Subtract Line 12 from Line 7. This amount is your total unmodified base income or loss.	13	-95,842 .00

Attach your payment and Form IL-1120-ST-V here.

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide information could result in a penalty.

Step 4: Figure your income or loss

14	Enter the amount from Line 13. **Unitary filers,** enter the amount from Schedule UB, Step 2, Col E, Line 30.	14	-95,842 .00
15	State, municipal, and other interest income excluded from Line 14.	15	.00
16	Illinois replacement tax and surcharge deducted in arriving at Line 14. See Instructions.	16	.00
17	Illinois Special Depreciation addition. **Attach** Form IL-4562.	17	.00
18	Related-Party Expenses addition. **Attach** Schedule 80/20.	18	.00
19	Distributive share of additions. **Attach** Schedule(s) K-1-P or K-1-T.	19	.00
20	The amount of loss distributable to a shareholder subject to replacement tax. **Attach** Schedule B.	20	.00
21	Other additions. **Attach** Illinois Schedule M (for businesses).	21	.00
22	Add Lines 14 through 21. This amount is your income or loss.	22	-95,842 .00

Step 5: Figure your base income or loss

23	Interest income from U.S. Treasury or other exempt federal obligations.	23	.00		
24	Share of income distributable to a shareholder subject to replacement tax. **Attach** Schedule B.	24	.00		
25	River Edge Redevelopment Zone Dividend subtraction. **Attach** Schedule 1299-A.	25	.00		
26	River Edge Redevelopment Zone Interest subtraction. **Attach** Schedule 1299-A.	26	.00		
27	High Impact Business Dividend subtraction. **Attach** Sch. 1299-A.	27	.00		
28	High Impact Business Interest subtraction. **Attach** Sch. 1299-A.	28	.00		
29	Contribution subtraction. **Attach** Schedule 1299-A.	29	.00		
30	Illinois Special Depreciation subtraction. **Attach** Form IL-4562.	30	.00		
31	Related-Party Expenses subtraction. **Attach** Schedule 80/20.	31	.00		
32	Distributive share of subtractions. **Attach** Sch(s) K-1-P or K-1-T.	32	.00		
33	Other subtractions. **Attach** Schedule M (for businesses).	33	.00		
34	Total subtractions. Add Lines 23 through 33.			34	.00
35	**Base income or loss.** Subtract Line 34 from Line 22.			35	-95,842 .00

STOP

A **If the amount on Line 35 is derived inside Illinois only, check this box and enter the amount from Step 5, Line 35 on Step 7, Line 47. You may not complete Step 6. (You must leave Step 6, Lines 36 through 46 blank.)** [X]

Note ▶ **If you are a unitary filer, do not check this box. Check the box on Line B and complete Step 6.**

B **If any portion of the amount on Line 35 is derived outside Illinois, or you are a unitary filer, check this box and complete all lines of Step 6. (Do not leave Lines 40 through 42 blank.) See instructions.** [ ]

Step 6: Figure your income allocable to Illinois (Complete only if you checked the box on Line B, above.)

36	Nonbusiness income or loss. **Attach** Schedule NB.			36	.00
37	Business income or loss included in Line 35 from non-unitary partnerships, partnerships included on a Schedule UB, S corporations, trusts, or estates. See instructions.			37	.00
38	Add Lines 36 and 37.			38	.00
39	Business income or loss. Subtract Line 38 from Line 35.			39	.00
40	Total sales everywhere. This amount cannot be negative.	40			
41	Total sales inside Illinois. This amount cannot be negative.	41			
42	Apportionment factor. Divide Line 41 by Line 40. Round to six decimal places.	42			
43	Business income or loss apportionable to Illinois. Multiply Line 39 by Line 42.			43	.00
44	Nonbusiness income or loss allocable to Illinois. **Attach** Schedule NB.			44	.00
45	Business income or loss apportionable to Illinois from non-unitary partnerships, partnerships included on a Schedule UB, S corporations, trusts, or estates. See instruction.			45	.00
46	**Base income or loss allocable to Illinois.** Add Lines 43 through 45.			46	.00

Step 7: Figure your net income

47	Base income or net loss from Step 5, Line 35, or Step 6, Line 46.	47	-95,842 .00
48	Discharge of indebtedness adjustment. **Attach** federal Form 982. See instructions.	48	0 .00
49	Adjusted base income or net loss. Add Lines 47 and 48.	49	-95,842 .00
50	Illinois net loss deduction. If Line 49 is zero or a negative amount, enter zero.	50	0 .00
	Check this box and attach a detailed statement if you have merged losses. ☐		
51	**Net income.** Subtract Line 50 from Line 49.	51	-95,842 .00

Step 8: Figure the taxes, surcharges, pass-through withholding, and penalty you owe

52	Replacement tax. Multiply Line 51 by 1.5% (.015).	52	.00
53	Recapture of investment credits. **Attach** Schedule 4255.	53	.00
54	Replacement tax before investment credits. Add Lines 52 and 53.	54	.00
55	Investment credits. **Attach** Form IL-477.	55	.00
56	**Net replacement tax.** Subtract Line 55 from Line 54. If the amount is negative, enter zero.	56	.00
57	Compassionate Use of Medical Cannabis Program Act surcharge. See instructions.	57	.00
58	Sale of assets by gaming licensee surcharge. See instructions.	58	.00
59	Pass-through withholding you owe on behalf of your members. Enter the amount from Schedule B, Section A, Line 9. See instructions. **Attach** Schedule B.	59	0 .00
60	Pass-through entity income. See instructions. 60 .00		
61	**Pass-through entity tax.** Multiply Line 60 by 4.95% (.0495).	61	.00
62	**Total net replacement tax, surcharges, pass-through withholding, and pass-through entity tax you owe.** Add Lines 56, 57, 58, 59, and 61.	62	.00
63	Underpayment of estimated tax penalty from Form IL-2220. See instructions.	63	.00
64	**Total taxes, surcharges, pass-through withholding, and penalty.** Add Lines 62 and 63.	64	.00

Step 9: Figure your refund or balance due

65	Payments. See instructions.				
	a Credit from previous overpayments.	65a	231 .00		
	b Total payments made before the date this return is filed.	65b	.00		
	c Pass-through withholding reported to you. **Attach** Schedule(s) K-1-P or K-1-T.	65c	.00		
	d Illinois income tax withholding. **Attach** Form(s) W-2G.	65d	.00		
66	Total payments. Add Lines 65a through 65d.			66	231 .00
67	Overpayment. If Line 66 is greater than Line 64, subtract Line 64 from Line 66.			67	231 .00
68	Amount to be **credited forward.** See instructions.			68	231 .00
	Check this box and attach a detailed statement if this carryforward is going to a different FEIN. ☐				
69	**Refund.** Subtract Line 68 from Line 67. This is the amount to be refunded.			69	.00
70	**Complete to direct deposit your refund** Routing Number _____ ☐ Checking or ☐ Savings Account Number _____				
71	**Tax Due.** If Line 64 is greater than Line 66 subtract Line 66 from Line 64. This is the amount you owe.			71	.00

Special Note → **Enter the amount of your payment on the top of Page 1 in the space provided.**

Step 10: Sign below -

Under penalties of perjury, I state that I have examined this return and, to the best of my knowledge, it is true, correct, and complete.

Sign Here		PRESIDENT	630-892-0860	☒ Check if the Department may discuss this return with the paid preparer shown in this step.
	Signature of authorized officer	Date (mm/dd/yyyy) / Title	Phone	

Paid Preparer Use Only	DIONE STOLARSKI		05/25/2022	☐ Check if self-employed	P00234010
	Print/Type paid preparer's name	Paid preparer's signature	Date (mm/dd/yyyy)		Paid Preparer's PTIN
	Firm's name ▶ DHJJ LTD.		Firm's FEIN ▶	36-3029663	
	Firm's address ▶ 184 SHUMAN BLVD. STE. 200 NAPERV		Firm's phone ▶	630-420-1360	

Refer to the 2021 IL-1120-ST Instructions for the address to mail your return.

Illinois Department of Revenue

2021 Schedule B

Partners' or Shareholders' Information

Year ending 12 (Month) 21 (Year)

Attach to your Form IL-1065 or Form IL-1120-ST.

IL Attachment No. 1

LILY CORPORATION

Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

36-3188312

Enter your federal employer identification number (FEIN).

STOP **Read this information first**

- You must read the Schedule B instructions and complete Schedule(s) K-1-P and Schedule(s) K-1-P(3) before completing this schedule.
- You must complete Section B of Schedule B and provide all the required information for your partners or shareholders before completing Section A of Schedule B.

Note ➔ Failure to follow these instructions may delay the processing of your return or result in you receiving further correspondence from the Department. You may also be required to submit further information to support your filing.

Section A: Total members' information (from Schedule(s) K-1-P and Schedule B, Section B)

STOP Before completing this section you must first complete Schedule(s) K-1-P, Schedule(s) K-1-P(3) and Schedule B, Section B. You will use the amounts from those schedules when completing this section.

Totals for resident and nonresident partners or shareholders (from Schedule(s) K-1-P and Schedule B, Section B)

1 Enter the total of all nonbusiness income or loss you reported on Schedule(s) K-1-P for your members. See instructions. **1** _____

2 Enter the total of all income and replacement tax credits you reported on Schedule(s) K-1-P for your members. See instructions. **2** _____

3 Add the amounts shown on Schedule B, Section B, Column E for all partners or shareholders on all pages for which you have entered a check mark in Column D. Enter the total here. See instructions. **3** _____

Totals for nonresident partners or shareholders only (from Schedule B, Section B)

4 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your nonresident individual members. See instructions. **4** _____

5 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your nonresident estate members. See instructions. **5** _____

6 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your partnership and S corporation members. See instructions. **6** _____

7 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your nonresident trust members. See instructions. **7** _____

8 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your C corporation members. See instructions. **8** _____

9 Add Line 4 through Line 8. This is the total pass-through withholding you owe on behalf of all your nonresident partners or shareholders. This amount should match the total amount from Schedule B, Section B, Column J for all nonresident partners or shareholders on all pages. Enter the total here **and** on Form IL-1065 (Form IL-1065-X), Line 59, or Form IL-1120-ST (Form IL-1120-ST-X), Line 59. See instructions. **9** _____

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide information could result in a penalty.

▶ **Attach all pages of Schedule B, Section B behind this page.**

Illinois Department of Revenue
2021 Schedule B

LILY CORPORATION

Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

36-3188312

Enter your federal employer identification number (FEIN).

Section B: Members' information (See instructions before completing.)

A Name and Address	B Partner or Shareholder type	C SSN or FEIN	D Subject to Illinois replacement tax or an ESOP	E Member's distributable amount of base income or loss	F Excluded from pass-through withholding	G Share of Illinois income subject to pass-through withholding	H Pass-through withholding before credits	I Distributable share of credits	J Pass-through withholding amount	K Pass-through entity tax amount
						See instructions before completing Columns F through K.				
1 Name LILY TROUT C/O Addr. 1 480 DELNOR GLEN DRIVE Addr. 2 City ST. CHAR State IL ZIP 60174	I	332-32-8069	☐	-92,200	R	0	0	0	0	0
2 Name MICHAEL TROUT C/O Addr. 1 2901 APPLLING WOOD PLA Addr. 2 City PLANT CI State FL ZIP 33565	I	336-54-3691	☐	-3,642		0	0	0	0	0
3 Name C/O Addr. 1 Addr. 2 City State ZIP			☐							
4 Name C/O Addr. 1 Addr. 2 City State ZIP			☐							
5 Name C/O Addr. 1 Addr. 2 City State ZIP			☐							

Note ➔ If you have more members than space provided, attach additional copies of this page as necessary.

149312 02-14-22

Printed by the authority of the state of Illinois

Schedule B (R-02/22) **ID: 2BX**

Illinois Department of Revenue

Schedule K-1-P

Partner's or Shareholder's Share of Income, Deductions, Credits, and Recapture

To be completed by partnerships filing Form IL-1065 or S corporations filing Form IL-1120-ST.

Partners and Shareholders receiving Schedule K-1-P should attach this to their Illinois tax return.

Year ending
12 (Month) 21 (Year)

IL Attachment No. 12

Step 1: Identify your partnership or S corporation

1 Check your business type ☐ partnership ☒ S corporation

2 LILY CORPORATION
Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

3 36-3188312
Enter your federal employer identification number (FEIN).

4 Enter the apportionment factor from Form IL-1065 or Form IL-1120-ST, Line 42. Otherwise, enter "1." 1.000000

Step 2: Identify your partner or shareholder

5 LILY TROUT
Name

6 480 DELNOR GLEN DRIVE
Mailing address

ST. CHARLES, IL 60174
City State ZIP

7 332-32-8069
Social Security number or FEIN

8 96.200000
Share (%)

9a Check the appropriate box. See instructions.

☒ individual ☐ corporation ☐ trust
☐ partnership ☐ S corporation ☐ estate

9b To be completed by the recipient on Line 5 only.

I am a: ☐ grantor trust ☐ disregarded entity
and the amounts on this schedule will be reported by:
Name:
SSN or FEIN:

Step 3: Figure your partner's or shareholder's share of your nonbusiness income or loss

		A Member's share (See instructions.)	B Member's share allocable to Illinois
10	Interest		
11	Dividends		
12	Rental income		
13	Patent royalties		
14	Copyright royalties		
15	Other royalty income		
16	Capital gain or loss from real property		
17	Capital gain or loss from tangible personal property		
18	Capital gain or loss from intangible personal property		
19	Other income and expense (Specify)		

Step 4: Figure your partner's or shareholder's share of your business income or loss

		A Member's share from U.S. Schedule K-1, less nonbusiness income	B Member's share apportioned to Illinois
20	Ordinary income or loss from trade or business activity	-90,128	-90,128
21	Net income or loss from rental real estate activities		
22	Net income or loss from other rental activities		
23	Interest		
24	Dividends		
25	Royalties		
26	Net short-term capital gain or loss		
27	Net long-term capital gain or loss. Total for year.		
28	Unrecaptured Section 1250 gain		
29	Guaranteed payments to partner (U.S. Form 1065 only)		
30	Net Section 1231 gain or loss (other than casualty or theft). Total for year.	-2,072	-2,072
31	Other income and expense (Specify)		

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide this information could result in a penalty.

Enter identification number from Line 7.
332-32-8069

Step 5: Figure your partner's or shareholder's share of Illinois additions and subtractions

K-1-P Recipient: Before using the information provided in Step 5, you must read Schedule K-1-P(2) to correctly report the amounts listed in Columns A and B.

			A Member's share from Form IL-1065 or IL-1120-ST	B Member's share apportioned or allocated to Illinois
	Additions			
32	Federally tax-exempt interest income	32		
33	Illinois replacement tax and surcharge deducted	33		
34	Illinois Special Depreciation addition	34		
35	Related-Party Expenses addition	35		
36	Distributive share of additions	36		
37	Other additions (from Illinois Schedule M for businesses)	37		
	Subtractions			
38 a	Interest from U.S. Treasury obligations (business income)	38a		
b	Interest from U.S. Treasury obligations (nonbusiness income)	38b		
39	River Edge Redevelopment Zone Dividend subtraction	39		
40	High Impact Business Dividend subtraction	40		
41	Contribution subtraction (Form IL-1120-ST filers only)	41		
42	River Edge Redevelopment Zone Interest subtraction (Form IL-1120-ST financial organizations only)	42		
43	High Impact Business within a Foreign Trade Zone Interest subtraction (Form IL-1120-ST financial organizations only)	43		
44	Illinois Special Depreciation subtraction	44		
45	Related-Party Expenses subtraction	45		
46	Distributive share of subtractions	46		
47	Other subtractions (from Illinois Schedule M for businesses)	47		

Step 6: Figure your partner's or shareholder's (except a corporate partner or shareholder) share of your Illinois August 1, 1969, appreciation amounts

			A Member's share from Illinois Schedule F (Form IL-1065 or IL-1120-ST)	B Member's share apportioned or allocated to Illinois
48	Section 1245 and 1250 gain	48		
49	Section 1231 gain	49		
50	Section 1231 gain less casualty and theft gain. See instructions.	50		
51	Capital gain	51		

Step 7: Figure your partner's or shareholder's share of your Illinois credits, recapture, pass-through withholding, pass-through entity tax credit, and federal income subject to surcharge

52 Illinois Income Tax Credits	Credit Code		Member's share from Illinois tax return
a Film Production Services	5000	52a	
b Enterprise Zone Investment	5080	52b	
c Enterprise Zone Construction Jobs	5120	52c	
d High Impact Business Construction Jobs	5160	52d	
e Affordable Housing Donations	5260	52e	
f EDGE	5300	52f	
g New Construction EDGE	5320	52g	
h Research and Development	5340	52h	
i Wages paid to Ex-Felons	5380	52i	
j Student-Assistance Contribution	5420	52j	
k Angel Investment	5460	52k	
l New Markets Development	5500	52l	
m River Edge Historic Preservation	5540	52m	
n River Edge Construction Jobs	5560	52n	
o Live Theater Production	5580	52o	
p Hospital	5620	52p	
q Invest in Kids	5660	52q	
r Data Center Construction Employment	5820	52r	
s Apprenticeship Education Expense	0160	52s	
t Historic Preservation	1030	52t	
u Other income tax credits		52u	

53 Other credits		Member's share from Illinois tax return
a Pass-through Entity Tax Credit See instructions.	53a	
b Replacement Tax Investment Credits See instructions.	53b	
54 Recapture		
a Enterprise Zone or River Edge Redevelopment Zone Investment Credit recapture	54a	
b Replacement Tax Investment Credit recapture	54b	
c Angel Investment Credit recapture	54c	
55 Pass-through withholding See instructions.	55	
56 Federal income attributable to transactions subject to the Compassionate Use of Medical Cannabis Program Act surcharge. See instructions.	56	
57 Federal income attributable to the sale or exchange of assets by a gaming licensee surcharge. See instructions.	57	

IL SCH K-1-P MEMBER'S SHARE OF DISTRIBUTABLE BASE INCOME OR LOSS

1 ENTER THE SHARE OF INCOME FROM IL-1120-ST LINE 14 FOR THIS MEMBER (SCHEDULE K-1-P COLUMN A LINES 10-27 & 30-31)	$	-92,200
2 ENTER THE SHARE OF ADDITIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 15-19 AND LINE 21		0
3 ADD LINES 1 AND 2		-92,200
4 ENTER THE SHARE OF SUBTRACTIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 23 AND 26-33		0
5 SUBTRACT LINE 4 FROM LINE 3	$	-92,200

Illinois Department of Revenue

Schedule K-1-P

Partner's or Shareholder's Share of Income, Deductions, Credits, and Recapture

To be completed by partnerships filing Form IL-1065 or S corporations filing Form IL-1120-ST.

Partners and Shareholders receiving Schedule K-1-P should attach this to their Illinois tax return.

Year ending 12 (Month) 21 (Year)

IL Attachment No. 12

Step 1: Identify your partnership or S corporation

1 Check your business type ☐ partnership ☒ S corporation

2 LILY CORPORATION
Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

3 36-3188312
Enter your federal employer identification number (FEIN).

4 Enter the apportionment factor from Form IL-1065 or Form IL-1120-ST, Line 42. Otherwise, enter "1." 1.000000

Step 2: Identify your partner or shareholder

5 MICHAEL TROUT
Name

6 2901 APPLLING WOOD PLACE
Mailing address

PLANT CITY, FL 33565
City State ZIP

7 336-54-3691
Social Security number or FEIN

8 3.800000
Share (%)

9a Check the appropriate box. See instructions.

☒ individual ☐ corporation ☐ trust
☐ partnership ☐ S corporation ☐ estate

9b To be completed by the recipient on Line 5 only.

I am a: ☐ grantor trust ☐ disregarded entity
and the amounts on this schedule will be reported by:
Name:
SSN or FEIN:

Step 3: Figure your partner's or shareholder's share of your nonbusiness income or loss

		A Member's share (See instructions.)	B Member's share allocable to Illinois
10	Interest		
11	Dividends		
12	Rental income		
13	Patent royalties		
14	Copyright royalties		
15	Other royalty income		
16	Capital gain or loss from real property		
17	Capital gain or loss from tangible personal property		
18	Capital gain or loss from intangible personal property		
19	Other income and expense (Specify)		

Step 4: Figure your partner's or shareholder's share of your business income or loss

		A Member's share from U.S. Schedule K-1, less nonbusiness income	B Member's share apportioned to Illinois
20	Ordinary income or loss from trade or business activity	-3,560	-3,560
21	Net income or loss from rental real estate activities		
22	Net income or loss from other rental activities		
23	Interest		
24	Dividends		
25	Royalties		
26	Net short-term capital gain or loss		
27	Net long-term capital gain or loss. Total for year.		
28	Unrecaptured Section 1250 gain		
29	Guaranteed payments to partner (U.S. Form 1065 only)		
30	Net Section 1231 gain or loss (other than casualty or theft). Total for year.	-82	-82
31	Other income and expense (Specify)		

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide this information could result in a penalty.

Enter identification number from Line 7.
336-54-3691

Step 5: Figure your partner's or shareholder's share of Illinois additions and subtractions

K-1-P Recipient: Before using the information provided in Step 5, you must read Schedule K-1-P(2) to correctly report the amounts listed in Columns A and B.

			A Member's share from Form IL-1065 or IL-1120-ST	B Member's share apportioned or allocated to Illinois
	Additions			
32	Federally tax-exempt interest income	**32**		
33	Illinois replacement tax and surcharge deducted	**33**		
34	Illinois Special Depreciation addition	**34**		
35	Related-Party Expenses addition	**35**		
36	Distributive share of additions	**36**		
37	Other additions (from Illinois Schedule M for businesses)	**37**		
	Subtractions			
38	**a** Interest from U.S. Treasury obligations (business income)	**38a**		
	b Interest from U.S. Treasury obligations (nonbusiness income)	**38b**		
39	River Edge Redevelopment Zone Dividend subtraction	**39**		
40	High Impact Business Dividend subtraction	**40**		
41	Contribution subtraction (Form IL-1120-ST filers only)	**41**		
42	River Edge Redevelopment Zone Interest subtraction (Form IL-1120-ST financial organizations only)	**42**		
43	High Impact Business within a Foreign Trade Zone Interest subtraction (Form IL-1120-ST financial organizations only)	**43**		
44	Illinois Special Depreciation subtraction	**44**		
45	Related-Party Expenses subtraction	**45**		
46	Distributive share of subtractions	**46**		
47	Other subtractions (from Illinois Schedule M for businesses)	**47**		

Step 6: Figure your partner's or shareholder's (except a corporate partner or shareholder) share of your Illinois August 1, 1969, appreciation amounts

			A Member's share from Illinois Schedule F (Form IL-1065 or IL-1120-ST)	B Member's share apportioned or allocated to Illinois
48	Section 1245 and 1250 gain	**48**		
49	Section 1231 gain	**49**		
50	Section 1231 gain less casualty and theft gain. See instructions.	**50**		
51	Capital gain	**51**		

Step 7: Figure your partner's or shareholder's share of your Illinois credits, recapture, pass-through withholding, pass-through entity tax credit, and federal income subject to surcharge

52 Illinois Income Tax Credits	Credit Code		Member's share from Illinois tax return
a Film Production Services	5000	**52a**	
b Enterprise Zone Investment	5080	**52b**	
c Enterprise Zone Construction Jobs	5120	**52c**	
d High Impact Business Construction Jobs	5160	**52d**	
e Affordable Housing Donations	5260	**52e**	
f EDGE	5300	**52f**	
g New Construction EDGE	5320	**52g**	
h Research and Development	5340	**52h**	
i Wages paid to Ex-Felons	5380	**52i**	
j Student-Assistance Contribution	5420	**52j**	
k Angel Investment	5460	**52k**	
l New Markets Development	5500	**52l**	
m River Edge Historic Preservation	5540	**52m**	
n River Edge Construction Jobs	5560	**52n**	
o Live Theater Production	5580	**52o**	
p Hospital	5620	**52p**	
q Invest in Kids	5660	**52q**	
r Data Center Construction Employment	5820	**52r**	
s Apprenticeship Education Expense	0160	**52s**	
t Historic Preservation	1030	**52t**	
u Other income tax credits		**52u**	

53 Other credits		Member's share from Illinois tax return
a Pass-through Entity Tax Credit See instructions.	**53a**	
b Replacement Tax Investment Credits See instructions.	**53b**	
54 Recapture		
a Enterprise Zone or River Edge Redevelopment Zone Investment Credit recapture	**54a**	
b Replacement Tax Investment Credit recapture	**54b**	
c Angel Investment Credit recapture	**54c**	
55 Pass-through withholding See instructions.	**55**	
56 Federal income attributable to transactions subject to the Compassionate Use of Medical Cannabis Program Act surcharge. See instructions.	**56**	
57 Federal income attributable to the sale or exchange of assets by a gaming licensee surcharge. See instructions.	**57**	

IL SCH K-1-P MEMBER'S SHARE OF DISTRIBUTABLE BASE INCOME OR LOSS

1 ENTER THE SHARE OF INCOME FROM IL-1120-ST LINE 14 FOR THIS MEMBER (SCHEDULE K-1-P COLUMN A LINES 10-27 & 30-31)	$	-3,642
2 ENTER THE SHARE OF ADDITIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 15-19 AND LINE 21		0
3 ADD LINES 1 AND 2		-3,642
4 ENTER THE SHARE OF SUBTRACTIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 23 AND 26-33		0
5 SUBTRACT LINE 4 FROM LINE 3	$	-3,642

Illinois Department of Revenue

2021 Schedule K-1-P(3)

Pass-through Withholding Calculation for Nonresident Members

Year ending 12 (Month) 21 (Year)

To be completed by partnerships filing Form IL-1065 or S corporations filing Form IL-1120-ST.

Read this information first:

- **For tax years ending on or after December 31, 2021, and before December 31, 2022.**
- You **must** complete Schedule K-1-P(3) for each of your nonresident partners or shareholders who **has not** submitted a Form IL-1000-E to you.
- **Do not** complete Schedule K-1-P(3) for any member who is a resident or who has submitted Form IL-1000-E to you.
- **Do not** complete Schedule K-1-P(3) if you have elected to pay Pass-through Entity Tax.

Note → **Keep this schedule with your income tax records. You must send us this information if we request it.**

Step 1: Identify your partnership or S corporation

1 LILY CORPORATION
Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

2 36-3188312
Enter your federal employer identification number (FEIN).

Step 2: Identify your nonresident partner or shareholder

3 MICHAEL TROUT
Name

4 336-54-3691
Social Security number or FEIN

5 Check the appropriate box to identify this nonresident partner's or shareholder's organization type.

[X] individual [ ] corporation [ ] trust [ ] partnership [ ] S corporation [ ] estate

Step 3: Figure your nonresident partner's or shareholder's pass-through withholding

Note → If this member is a resident or has submitted Form IL-1000-E to you, do not complete this schedule for this member.

6	Add the amounts from this member's Schedule K-1-P, Step 3, Column B, Lines 12 through 17 and 19 and enter the total here. This is your member's share of nonbusiness income allocable to Illinois before modifications and credits. See instructions before completing.	6 0
7	Add the amounts from this member's Schedule K-1-P, Step 4, Column B, Lines 20 through 27 and 29 through 31 and enter the total here. This is your member's share of business income allocable to Illinois before modifications and credits. See instructions before completing.	7 -3,642
8	Add Line 6 and Line 7 and enter the result.	8 -3,642
9	Add the amounts from this member's Schedule K-1-P, Column B, Lines 32 through 37 and enter the total here. This is your member's share of additions allocable to Illinois.	9 0
10	Add Line 8 and Line 9 and enter the result.	10 -3,642
11	Add the amounts from this member's Schedule K-1-P, Column B, Lines 38a through 47 and enter the total here. If this member is an individual, partnership, trust, or estate and received Illinois August 1, 1969, appreciation amounts from you, see instructions. This is your member's share of subtractions allocable to Illinois.	11 0
12	Subtract Line 11 from Line 10. If negative, enter zero. **This is your member's share of Illinois income subject to pass-through withholding.** See instructions.	12 0

Note → **If this member is a nonresident individual or estate, enter zero on Lines 13 through 15 and go to Line 16.**

13	Replacement tax before credits. If this member is a **partnership, S corporation, or nonresident trust,** multiply Line 12 by 1.5% (.015) and enter the result. **corporation,** multiply Line 12 by 2.5% (.025) and enter the result.	13 0
14	Enter the amount of Illinois replacement tax investment credits passed to this member and available for use this year.	14 0
15	Subtract Line 14 from Line 13. If negative, enter zero. **This is your member's share of replacement tax after credits.**	15 0

Note → **If this member is a nonresident partnership or S corporation, enter zero on Lines 16 through 18 and go to Line 19.**

16	Income Tax before credits. See instructions.	16 0
17	Enter the amount of Illinois income tax credits passed to this member and available for use this year. See instructions.	17 0
18	Subtract Line 17 from Line 16. If negative, enter zero. **This is your member's share of income tax after credits.**	18 0

19	Add Lines 15 and 18 and enter the result. This is your member's total pass-through withholding. **Report this amount on this member's Schedule K-1-P, Step 7, Line 55. You must also report this amount on your Form IL-1065 or Form IL-1120-ST, Schedule B, Section B, Column J, on the line which reports this member's amounts.**	19 0

▶ **Keep a copy of this schedule for each member with your income tax records. Do not send Schedule K-1-P(3) to your members or submit it to the Illinois Department of Revenue unless we specifically request it from you.**

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide this information could result in a penalty.